

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

WAY INTERGLOBAL NETWORK, LLC, *Complainant*

v.

SHENZHEN UNIFELIX SCM LIMITED, *Respondent*.

DOCKET NO. 22-28

Served: April 19, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on October 21, 2022, when the Federal Maritime Commission (“Commission” or “FMC”) issued a notice of filing of complaint and assignment indicating that Complainant Way Interglobal Network, LLC (“Way”) had filed a complaint against Respondent Shenzhen Unifelix SCM Limited (“Shenzhen Unifelix,” “Shenzhen” or “Unifelix”). The complaint alleges that Shenzhen Unifelix violated the Shipping Act of 1984 (“Shipping Act”), specifically, 46 U.S.C. § 41102(c) and (d), 46 U.S.C. § 41103(a), and 46 U.S.C. § 41104(a)(1), (a)(4)(E), and (a)(10). On January 20, 2023, Shenzhen Unifelix filed an answer denying the allegations and raising affirmative defenses.

Shenzhen Unifelix provided transportation services for Way as a non-vessel operating common carrier (“NVOCC”), a type of ocean transportation intermediary. The dispute involves twenty specific containers (“20 Containers”), although Shenzhen Unifelix transported more than ninety other containers for Way. The 20 Containers were shipped from China to ports in California, and then transported via rail to Chicago, Illinois. The parties’ March 22, 2022, agreement, titled “Transport Contract,” stated that Shenzhen Unifelix would be responsible for coordinating Way’s sea freight and trucking and that payment would be provided from Way to Shenzhen Unifelix within seven days after receiving the goods at Way’s warehouse in Elkhart, Indiana. Shenzhen Unifelix began transport of the 20 Containers in May 2022, and the last of the 20 Containers departed from China on June 25, 2022.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

As explained more fully below, in June 2022, Shenzhen Unifelix attempted to unilaterally change the terms of the agreement. For example, Shenzhen Unifelix emailed Way writing that “our company requires to change the contract terms, our company will no longer provide Trucking delivery service at the destination port,” citing to payment disputes regarding other containers. CX 44-45. Way replied that the payment terms were seven days after receiving the containers and Shenzhen Unifelix could not change terms during transport. CX 44. Way also reiterated that it would not sign a new contract and it was Shenzhen Unifelix’s responsibility to move the containers from China to the door in Elkhart, Indiana. CX 44. There is no credible evidence in the record of any agreement by Way to a change in terms to the parties’ March 2022 Transport Contract.

The evidence shows that Shenzhen Unifelix told Way that it would release the pickup numbers for the 20 Containers, which were then at the Chicago railyards, if Way paid the 20 Containers’ sea freight, which was not due under the Transport Contract until after delivery to Indiana. On September 14, 2022, Way paid the agreed amount and Shenzhen Unifelix accepted this payment but then told Way that it would not release the pickup numbers until demurrage charges for other containers, on other bills of lading, had been paid.

As explained below, Way established an unreasonable practice in violation of section 41102(c) as Commission precedent is clear that holding a shipment for charges unrelated to that shipment is unreasonable. In addition, Way has established a refusal to deal in violation of section 41104(a)(10) for refusal to deliver the containers to Indiana. Shenzhen Unifelix repeatedly violated its NVOCC duties by failing to do what it said it would do. For example, Shenzhen Unifelix said it would release the 20 Containers after it received the sea freight, but it did not; Shenzhen Unifelix said that it would transport the 20 Containers to Way’s warehouse in Elkhart, Indiana, but it did not; and Shenzhen Unifelix tried to unilaterally change the Transport Contract terms.

The evidence does not establish violations of two other Shipping Act sections alleged by Way, including sections 41102(d) (discrimination) and 41103(a)(1) (disclosure of information). Two additional violations alleged in the complaint, 46 U.S.C. §§ 41104(a)(1) and 41104(a)(4)(E), were not discussed in the brief and are dismissed as abandoned. In addition, Way’s breach of contract arguments are dismissed for lack of jurisdiction.

In its complaint, filed while the events of this case were still ongoing and none of the 20 Containers had yet been delivered or released, Way sought a million dollars in damages. In its brief, Way seeks reparations totaling \$357,398.85 for both the 20 Containers and other containers, doubled for an award of \$714,797.70. Brief at 39-41. As explained below, Way has only established actual injury of \$163,031.25, consisting of \$111,235 for demurrage plus \$51,796.25 for rail yard storage and service charges, for the 20 Containers. Way has not established that reparations for trucking fees or other containers should be awarded. Way has established that double damages are appropriate. Therefore, Way is awarded reparations of \$326,062.50, plus interest.

B. Procedural History

On October 21, 2022, the Commission issued a notice of filing of complaint and assignment initiating this proceeding. On December 7, 2022, Shenzhen Unifelix filed a motion to dismiss the complaint. On January 4, 2023, an order was issued denying the motion to dismiss. Shenzhen Unifelix then filed its answer on January 20, 2023.

The parties began discovery. On June 8, 2023, and on August 29, 2023, in response to request from the parties, orders were issued revising the schedule of briefing and other deadlines.

On September 8, 2023, Way filed its brief with proposed findings of fact (“Brief”) and appendix. On October 6, 2023,² Shenzhen Unifelix filed its opposition brief with proposed findings of fact (“Opposition”), response to Complainant’s proposed findings of fact (“SResp/WPFF”), appendix, and objections to evidence (“Objections”). On October 13, 2023, Way filed a response to Shenzhen Unifelix’s objections to evidence (“Objections Response”). On October 20, 2023, Way filed its reply brief with its response to Shenzhen Unifelix’s proposed findings of fact (“Reply”).

Way’s appendix is marked with “CX” Bates stamps. Shenzhen Unifelix’s appendix, filed afterwards, was also marked with “CX” Bates stamps. As a result, two separate documents could be pointed to for any given CX number. Therefore, to avoid confusion, Shenzhen Unifelix’s appendix pages will be referred to in this decision using an “RX” prefix, followed by the number marked on the actual appendix page. In the future, parties should not submit duplicate bates stamp pages, as the purpose of Bates stamps is to create unique identifiers. Typically, CX would be utilized for complainant’s exhibits and RX would be utilized for respondent’s exhibits.

C. Arguments of the Parties

Way asserts that this is “a straightforward matter involving the wrongful detention of 20 containers by Respondent because of unpaid demurrage charges on unrelated containers,” arguing that Shenzhen Unifelix’s actions violated 46 U.S.C. §§ 41102(c)&(d), 41103(a)(1), and 41104(a)(10); Unifelix’s actions were cumulatively a breach of the Transport Contract; and Way is entitled to damages. Brief at 1, 27-41; Reply at 23-30.

Shenzhen Unifelix contends that it was “faced with a large number of shipments, uncontrollable port and rail delays and a customer that refused to pay promptly,” arguing that its actions did not violate 46 U.S.C. §§ 41102(c)&(d), 41103(a)(1), or 41104(a)(10); its actions were not a breach of contract; and Way’s claim for damages is not supported by the evidence or the law. Opposition at 6, 10-19.

² Respondent emailed its filings on October 6, 2023. The email was not received by the Commission. Respondent forwarded the October 6, 2023, email to the Commission on October 9, 2023. Way states that it received the filing on October 7, 2023, and objects that it was not timely. Reply at 1. Consistent with Commission Rule 502.2(b)(2), the filing date is when the email was transmitted. 46 C.F.R. § 502.2(b)(2). Therefore, the filing was timely.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Parts of documents in the record that were not in English as required by Commission Rule 7 were not considered. *See, e.g.*, CX 110; RX 437. Additionally, the record is longer than necessary because Way submitted multiple copies of the same documents. *See, e.g.*, CX 221-24 and CX 622-24; CX 472-78 and CX 1310-16; and CX 833-34 and RX 4609-10. This duplication was purposeful on the part of Way, who explains that it “attempted to group relevant documents together as they relate to each container, which has resulted in some duplication of documents, but which will make it easier to match the appropriate documentation to each container.” Brief at 3. This duplication of documents was well-intentioned and logical organization of appendices is appreciated, although it did result in exhibits being included multiple times including emails that were included twenty times. Particularly for cases with more shipments, it may be preferable to organize evidence so that there are not multiple copies of the same piece of evidence, but here this organization served its purpose well. Similarly, Respondent is encouraged to “cite to Complainants’ appendix rather than include a second copy of the same document in its own appendix,” which will help limit the size of the record. Initial Order at 3.

Specific findings of fact are covered next, in part two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT (“FOF”)

A. Relevant Entities

1. Way is a limited liability company organized and existing under the laws of the State of Indiana, with its principal place of business in Indiana. Complaint ¶ 1.
2. Way entered into a relationship with Shenzhen Unifelix to handle container shipments from Way’s supplier in China of component parts used by Way in the assembly of recreational vehicles in the United States. Complaint ¶ 8.

3. Way's local warehouse is located in Elkhart, Indiana. SResp/WPFF ¶ 8.
4. Shenzhen Unifelix is a Chinese company operating as a foreign based Non-Vessel Operating Common Carrier ("NVOCC") as defined under 46 U.S.C. § 40102, located in Shenzhen, Guangdong, China, with FMC organization number 030415. Complaint ¶ 2; Answer ¶ 2.
5. Shenzhen Unifelix's United States agent is Celestial Freight Solutions Inc. ("Celestial Freight"), located in Santa Fe Springs, CA. Complaint ¶ 2; Answer ¶ 2.

B. Agreement

6. On March 22, 2022, Way and Shenzhen Unifelix signed and date stamped an agreement titled "Transport Contract," which also stated: "The agreement is valid for one year and will be renewed if no objection of both parties. This agreement will come into effect from the date of signature and stamp." CX 1-2.
7. The Transport Contract identified Way as "Party A" and Shenzhen Unifelix as "Party B" and provided:

I, Party B [Shenzhen Unifelix] has the responsibility for Party A [Way]'s *trucking, and sea freight* export services.

II, Party A [Way] should fill the "BOOKING FORM" before shipping, transportation extras charges, the loading address of factory, loading time, container type, container quantity, port of loading, port of delivery, closing time should be showed on the "BOOKING FORM"; Party B [Shenzhen Unifelix] *will arrange booking and trucking* according to Party A's instruction. If Party A [Way] need to cancel the booking in emergency or delay to load the container, Party A [Way] should notify Party B [Shenzhen Unifelix] before three days of pick-up the empty, otherwise Party A must afford the responsibility for any loss due to Party A's late notification which caused overnight charge or ERS.

III, The transportation charge is according to the price marked on "BOOKING FORM" which has confirmed by both parties, it could not be amended without both parties' confirmation. If any party needs to amend the charge, the two parties need to negotiate and confirm again before transportation. *The two parties can not alter any charge when cargo is transporting. . . .*

V, Payment terms: *Within 7 days after receiving the goods at Party A [Way]'s local warehouse.*

VI, Party B [Shenzhen Unifelix] has responsibility for the integrity and security of Party A's cargo during the pick-up and transport process, if have any loss or damage (exclude the force majeure), Party B [Shenzhen Unifelix] shall be liable for compensation to Party A.

VII, Both parties have the rights to make supplementary clause to this agreement, based on long term mutual interests & development during the cooperation; the supplementary clauses need to be confirmed by both parties, and obey it. The defiant party should bear all the responsibility. . . . The agreement is valid for one year, and will be renewed if no objection of both parties. This agreement will come into effect from the date of signature and stamp.

CX 1-2 (emphases added).

C. Shipments³

8. Way's claims relate to the handling of twenty specific containers: TCNU6557513, TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TCNU6134091, TGBU9704789, TXGU7117086, TXGU7120114, CLHU8963040, FANU1742269, TXGU7119812, TXGU7120330, TXGU7118550, BEAU4986763, UACU5979959, TXGU7118415, TXGU7120120, TCNU6756449 (collectively "the Containers" or "the 20 Containers"). Complaint ¶ 13; Answer ¶ 13.
9. The 20 Containers were shipped from China between May 22, 2022, and June 25, 2022. SResp/WPFF ¶ 12.
10. The house bill of lading for each of the 20 Containers states that the port of loading is China, the port of discharge is California, and the place of delivery is Chicago, IL or Joliet, IL. RX 344; RX 349; RX 355; RX 358; RX 363; RX 366; RX 368; RX 370; RX 375.
11. The nine house bills of lading containing the 20 Containers, and their respective master bills of lading, are as follows:

House BL #	Container #s Part of the 20 Containers	Container #s Not Part of 20 on this HBL	Laden on Board Date	Cite	Carrier; Carrier Master BL#; Cite
UFS22050294	CLHU8963040	FFAU2109816; DFSU7477262; FCGU1986678; TCNU6790588; BMOU5536533; BEAU4938831; NIDU5206253; TCNU1491199; HLBU2046978	June 1, 2022	RX 344	Hapag-Lloyd ("HPL"); HLCUSHA220587648; RX 433

³ Quotations from emails have been edited to improve readability by adding, where appropriate, periods, commas, and spaces; for example, in numbers and between sentences.

UFS22050423	UACU5979959	HLBU2182059; SLSU8061770; HLBU2424234; TCNU4310930; UACU5980651; FANU1503412; GESU6421681; FANU1609739; FANU1703724; FANU1017909; FANU1412884; UACU5171338; CAAU5508204; TGHU6072330	May 22, 2022	RX 349	HPL; HLCUSZX2205BMPQ7; RX 433
UFS22060012	FANU1742269	BEAU4965884; CAIU8472577	June 1, 2022	RX 355	HPL; HLCUSZX2204DQEV2; RX 434
UFS22060015	TXGU7118415; TXGU7119812; TXGU7120330	N/A	June 18, 2022	RX 358	HPL; HLCUSZX2205BCUP3; RX 433
UFS22060016	TXGU7117086; TXGU7120114	N/A	June 4, 2022	RX 363	HPL; HLCUSZX2205AZUI1; RX 434
UFS22060019	BEAU4986763; TXGU7118550; TXGU7120120	N/A	June 18, 2022	RX 366	HPL; HLCUSZX2205BCVY3; RX 434
UFS22060180	TCNU7351126; TLLU4212160; TLLU5558286; GAOU6616340; TLLU5672365; TCNU6134091; TGBU9704789	N/A	June 11, 2022	RX 368	ONE; ONEYSZPCH5728803; RX 434
UFS22060445	TCNU6557513	TGCU5307431; TGHU6466288; KKFU8053448; DRYU9415119; TGCU5306374; TCNU4925220	June 18, 2022	RX 370	ONE; ONEYSZPCG3939900; RX 434
UFS22060607	TCNU6756449	UACU5206199; HLXU8169128; UETU5915434; HLBU1011473; HLBU1597810; UACU5353918; FANU1504466;	June 25, 2022	RX 375	HPL; HLCUSZX2206AQDP1; RX 434

		RFCU5091673; FANU1496890			
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See also RX 541 (listing the 20 Containers along with HBL number, associated invoice numbers, sea freight, arrival date at Chicago port, and status of shipment); RX 338 (includes carrier invoice numbers).

12. The carrier for each of the 20 Containers was either HPL (Hapag-Lloyd) or ONE (Ocean Network Express). RX 433-34.
13. The 20 Containers began arriving in the United States at various ports in California on June 20, 2022, and by July 19, 2022, all of the 20 Containers had arrived in California. SResp/WPFF ¶ 20; *see also* CX 150.
14. The 20 Containers were afterwards loaded onto a train for transportation to the railyard in Chicago between mid-August and October 2022. SResp/WPFF ¶ 42; *see also* RX 541.
15. In addition to these 20 Containers, Shenzhen Unifelix shipped other containers for Way. For example, on July 25, 2022, Shenzhen Unifelix emailed Way, providing a status update regarding 112 containers, including the 20 Containers. CX 42-43.

D. Communications and Transportation

16. On June 13, 2022, Shenzhen Unifelix emailed Way concerning a container that was not part of the 20 Containers, writing: “Can you pay freight today? I would like to ask whether your company always pays the freight on Monday?” and providing details for a total due of USD 17,226. CX 9.
17. On June 14, 2022, Shenzhen Unifelix emailed Way again, with the same subject “Freight bill-PO#022321C64,” writing: “Can you pay today? It’s important.” CX 8.
18. Later on June 14, 2022, Shenzhen Unifelix emailed Way, with the same subject, writing:

Thank you very much for trusting our company and arranging business for our company. I will try to do better in the future. According to the contract, our payment term should be within 7 days after receiving the goods. But the shipping company requires us to pay the sea freight within 7 days after the shipment, as one can imagine, Our boss is under great financial pressure. Payment terms of this contract. I got it through a lot of hard work. We are honored to cooperate with a large company like you. Now there are many containers to arrive at the port, We need to arrange the radio release immediately and then arrange the truck delivery. Looking for a truck driver, we have to pay the truck driver’s freight immediately. They will help us deliver the goods, so only if you can pay on time, can our company have the funds to arrange the next step as soon as possible. This is also a challenge. So I would like to ask you for help. Can you pay our freight as soon as possible according to the terms of the contract. I am working hard to ensure that the containers can arrive at your warehouse on time

(Sometimes I work until 3-4 a.m). Next, many containers will arrive at the port. I also hope you can pay the freight of the containers as soon as possible according to the terms of the contract. I also appreciate your help. thank you very much.

CX 6-7.

19. Way replied to Shenzhen Unifelix on June 14, 2022, writing: “We are working on our cash payments for the week, we will have more of an update later this week.” CX 6.
20. As of June 16, 2022, all but 8 of the 20 Containers had already departed from China. *See* FOF 11. As of June 25, 2022, all of the 20 Containers had departed from China. *Id.*
21. In early July, Way believed that Shenzhen Unifelix was providing inaccurate invoicing and inflated claims of balances due, so it performed an extensive audit, which was delayed due to the lack of backup documentation for invoices. CX 7390.
22. On July 12, 2022, Shenzhen Unifelix emailed its US agent, Celestial Freight, regarding Way, with subject line “PRE-ALERT //:YANTIAN TO CHICAGO UFS22050294 10*40HQ TERMS-CIF” and writing: “Please hold all containers for this clients and wait for our further notice.” CX 90; SResp/WPFF ¶ 27. House bill of lading UFS22050294 included container # CLHU8963040, which was one of the 20 Containers. FOF 8, 11.
23. A Shenzhen Unifelix summary noted the following status of the 20 Containers:

Shpmt	Container No.	Status	Cite
1	BEAU4986763	JUL-19 arrived OAKLAND, wait on rail to Chicago	CX 150
2	CLHU8963040	JUN-27 arrived OAKLAND, wait on rail to Chicago	CX 150
3	FANUI742269	No status provided	CX 150
4	GAOU6616340	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
5	TCNU6134091	JUL-03 arrived at LA, wait on rail to Chicago	CX 150
6	TCNU6557513	JUL-10 arrived at LA, wait on rail to Chicago	CX 150
7	TCNU6756449	JUL-17 arrived at LA, wait on rail to Chicago	CX 150
8	TCNU7351126	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
9	TGBU9704789	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
10	TLLU4212160	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
11	TLLU5558286	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
12	TLLU5672365	JUL-08 arrived at LA, wait on rail to Chicago	CX 150
13	TXGU7117086	JUL-04 arrived OAKLAND, wait on rail to Chicago	CX 150
14	TXGU7118415	JUN-23 arrived OAKLAND, wait on rail to Chicago	CX 150
15	TXGU7118550	JUN-20 arrived OAKLAND, wait on rail to Chicago	CX 150
16	TXGU7119812	JUN-20 arrived OAKLAND, wait on rail to Chicago	CX 150
17	TXGU7120114	JUL-03 arrived OAKLAND, wait on rail to	CX 150
18	TXGU7120120	JUN-23 arrived OAKLAND, wait on rail	CX 150
19	TXGU7120330	JUN-20 arrived OAKLAND, wait on rail to Chicago	CX 150
20	UACU5979959	JUN-22 arrived OAKLAND, wait on rail	CX 150

24. On July 19, 2022, Way emailed Shenzhen Unifelix, stating:

I received information today from several of our vendors/suppliers that you have approached them for payment of freight. I also learned you shared information regarding payments from WAY to Uniflex that is incomplete and inaccurate. These misleading statements to our vendors are slanderous and threatening in nature, and sheds WAY in a bad light to long time suppliers. These actions, combined with documented issues we have raised to your attention over the past 2 weeks regarding inaccurate invoicing, inflated claims of balances due, and other actions by Uniflex continue to raise significant concerns regarding your ability to perform services effectively to the degree you have been engaged to date. Similar concerns have been raised by our CFO, seemingly without effect given your most recent actions.

I prefer to resolve these issues constructively when possible, and propose the following:

We have already prepared a \$706,500 payment for shipments received to date following an extensive audit by our finance group of your invoices, and will release the payment this week. We anticipate as additional deliveries are received and related invoices are verified, we will be releasing approx. \$200 k in payments weekly in coming weeks.

WAY can commit to this provided your commitment to the following via return email:

Currently held shipments are immediately released. Your confirmation that no claims have been made on our shipments by your carriers that would result in further delivery delays. Any communication by Uniflex with any supplier of Way that extends beyond the routine execution of shipment will immediately cease. We regard this point to be a very serious issue, and will defend our interests aggressively.

I hope we can move forward in a constructive and mutually beneficial manner.

CX 105.

25. On July 20, 2022, Shenzhen Unifelix replied to Way's July 19, 2022, message stating:

Please find attached is the billing list of the 46 containers that already delivered to you, in the list, that show the delivery date, ocean freight, delivery freight and the payment deadline of each container, as well as the overdue days as of today (20/07/2022), the total overdue amount is USD 746,617. The [delivered] container with the longest overdue days have been reached 29 day! Your company has seriously breached the contract. Please

pay as soon as possible according to the contract. Paying the freight of the delivered containers is the premise for us to continue to solve the problem.

Unifelix has not harassed suppliers and slandered your company. Our company collects the ocean freight from the shipper on the BL in accordance with Chinese law, which is allowed by Chinese law, on the premise that your company has not paid the freight.

If you can pay the freight, our lawyer will stop asking the factory to pay the freight and stop taking the next legal measures against the factory. Please arrange the payment according to the contract as soon as possible. If you fail to pay the freight of 46 containers that have been delivered before July 22, 2022, we will continue to use legal weapons to safeguard our legitimate rights and interests.

CX 49-50.

26. On July 21, 2022, Way responded to Shenzhen Unifelix, stating: "We will be making the 700+k payment on Friday and once more containers are recd we will pay according to [the] agreement. We were late due to Owen continuing sending incorrect info. Our plan is pay accordingly after Friday." CX 47.
27. By July 21, 2022, Way had processed a payment of \$746,617 to Shenzhen Unifelix. CX 46; CX 11. On July 21, 2022, Way emailed Shenzhen Unifelix, stating: "Our CEO asked our finance dept to give Top priority to your balance; Attached is the bank slip of 46 balance 746,617 USD which the amount was revised on 19th July by Unifelix, let you (sic) know if you get the pmt. so you are happy now. thank you." CX 46.
28. On July 22, 2022, Shenzhen Unifelix emailed Way, stating:

Because your company did not perform the payment as agreed in the contract, the longest overdue invoice has been reached 29 days, it has brought great trouble to our company.

Therefore, for the balance containers, *our company requires to change the contract terms, our company will no longer provide Trucking delivery service at the destination port.* Pls request your other trucking company to arrange delivery. We also can recommend trucking company/REGENT LOGISTICS INC to you, you can work with Regent directly.

In addition, there are 53 containers arrived in the Chicago rail way station so far. Please pay us the ocean [freight] for these 53 containers. As we receive ocean freight from your side, we will telex release these containers to your trucker at the first time. Please find attachment the revised contract.

Our [financial] team will prepared the document and send the freight invoices of the 53 arrived containers to your finance Kim, please inform Kim to check the email.

Please understand and sign the new contract. We hope to solve this problem peacefully through communication.

CX 44-45 (emphases added); *see also* SResp/WPFF ¶ 32 (Shenzhen Unifelix acknowledged that it “requested” that Way arrange truck transport to its warehouse).

29. On July 22, 2022, Way replied to Shenzhen Unifelix, stating: “Our terms are 7 days AFTER we rec containers per agreement!” CX 44. Later on July 22, 2022, Way replied to Shenzhen Unifelix again, stating: “You can’t change agreement terms with containers in transit. We are not going to sign a new contract and you are expected to abide by the existing contract for any containers you have moved. Your responsibility is to get product from China to door Elkhart.” CX 44.
30. As of July 22, 2022, email, all of the 20 Containers were sitting at various ports in California waiting to be loaded onto rail and transported to Chicago, Illinois. SResp/WPFF ¶ 33.
31. On July 23, 2022, Way replied again to Shenzhen Unifelix, stating: “We are pd up to date and you have binding agreement.” CX 44.
32. On July 25, 2022, Shenzhen Unifelix emailed Way, stating:
 1. Today we received a notice from the bank that the freight of 46 containers that you paid on July 21, 2022 has arrived in our bank account.
 2. There are 8 containers that was pre-pulled by the truck company in June, we will notice the truck company to delivery them to your warehouse within this week. *The freight of these 8 containers, can be paid to our company within 7 days after receiving the goods according to the original contract.*
 3. Due to your breach of contract, you did not perform the payment in accordance with the original contract, which caused great trouble to our company. *Now we requests to re-sign the contract.* (Please see attachment the new contract).
 4. Because your company did not perform the payment agreement in accordance with the original contract, which cause the containers were stranded in the port, the demurrage charge and the detention charge incurred were borne by your company. Our company reminded you many times in the previous email (please see the attachment email record), please bear the all the extra expenses at the destination port caused by breach of contract.
 5. For the balance 104 containers, we will not provide the delivery service anymore. Your company needs to entrust your trusted truck company to arrange delivery. We will release the container to your truck company after we receive the ocean freight.

CX 11 (emphases added).

33. Late on July 25, 2022, Shenzhen Unifelix again emailed Way, stating:

Pls find enclosed shipments list include ocean freight for your reference and following details.

1. There are 8 containers were pre-pulled by our trucking company in June and will delivery to your warehouse this week.

2. There are 48 containers already arrived Chicago port.

3. There are 56 containers is on the way and will arrive Chicago port very soon.

The total ocean freight amount is USD 1,676,090 not include trucking fee as attachment for the balance 112 containers. Pls confirm and [advise] us your payment date.

RX 448-50.

34. On July 26, 2022, Way responded to Shenzhen Unifelix, writing: “Please submit Way your invoice lists w/o any mistakes in detail as below” and asking for particular invoices. “Our finance team needs something to verify and manage your wires, please explain us in the zoom call[.]” RX 449.

35. On July 26, 2022, Shenzhen Unifelix emailed Way, stating in part:

There are 8 containers that were pre-pulled by the trucking company before, we have informed our trucking company to make appointment and delivery containers to your nominated warehouse this week. *The freight of these 8 containers, can be paid to our company within 7 days after receiving the goods according to the old contract.* Please check the attachment shipment list for ocean freight and delivery charge of these 8 containers, and the invoice per container have been sent to your finance Kelly by separate email. . . .

We would like to gentle remind you again that because of your previous breach of contract and failed to fulfill the payment term as agreed in the contract. That caused such more issues and it also caused our company get into big trouble. Your company have responsibility to bear any exchange occurred and improve your work. So that our company and your company can work together to sort out this case. Because you broke the contract firstly, *your company have to arrange trucking by yourselves for the balance 104 containers.* For the 67 arrived containers, pls pay us ocean freight firstly, we will release containers to your nominated trucking company as your payment arrived our account. We hope that we can deal with this case asap through good communicate with each other.

RX 447-48 (spelling as in original; emphases added).

36. On July 26, 2022, Way emailed Shenzhen Unifelix, expressing frustration regarding invoices, stating: “I have to continue to emphasize that the accuracy of the invoicing we have received continues to be a major issue, which delays your payment and creates significant confusion. I have attached a recent example where invoicing has been generated well in advance of any receipt of product. . . . Accurate and fully supported invoices will be the most effective way to get Unifelix paid timely.” CX 6081.

37. On July 27, 2022, Shenzhen Unifelix responded to this point in blue text, writing:

We already emphasized some times that we will not provide any trucking service for the balance 104 container due to you broke the contract firstly in previous email record. Wayne and Gary also are aware of this situation. Your company need to pick up containers from Chicago railyard by your other nominated trucking company. That mean that we will release container to you as we receive payment from you. Otherwise we can't release any containers to you. So we should send invoice to you in advance of any receipt of product. So that you can process payment to us before you pick up containers. This is not invoice issue. This is accurate operation process.

CX 6080-81.

38. On July 28, 2022, Shenzhen Unifelix emailed Way, writing:

We already sent shipments list and ocean freight of invoice for every container as per your instruction. We also reminded and emphasized to your company many times by email that we will not release containers to you until your payment arrived our account. Your company need to arrange trucking by yourselves, we will not provide any trucking service to you. . . . As we informed you before, there are 67 containers arrived Chicago railyard, storage charge and demurrage charge continue to increase on a daily basis. You need to process this payment of 67 arrived containers a priority and then pick up them urgently.

CX 6079.

39. On July 30, 2022, Way processed a wire payment to Shenzhen Unifelix for \$983,780 for 65 invoices unrelated to the 20 Containers. CX 6074-77.
40. On August 1, 2022, Shenzhen Unifelix emailed Way stating: “We already finished trucking for 8 containers last week, these 8 containers trucking fee is total USD 66,500 as attachment charge detail. Pls pay payment to us this week according to old contract” and “There are more three containers already arrived Chicago port as attachment we updated. And the other balance 34 containers are way to Chicago and [estimated] time of arrival will be this week. There are only 2-3 free days for every container, you should pay full freight USD 758,810 (USD 75,8810 = USD 692,310 + USD 66,500) to us within this

week and pick up containers, to avoid occur [demurrage] charge and storage charge. We also need to spend 3-5 days to processing telex release as your payment arrive our account.” CX 6073-74.

41. Comments in the August 1, 2022, email, from Way, state that “The charges are far beyond typical drayage – we’ll need the related invoices and supporting detail to understand the charges and process accordingly” and “No other carrier requires this amount of time to arrange telex release – we look to Unifelix to eliminate this delay.” CX 6074.
42. On August 1, 2022, Shenzhen Unifelix notified Way that 19 of the 20 Containers were in California. SResp/WPFF ¶ 38; CX 149-50.
43. From mid-August to October 2022, the 20 Containers were loaded onto a train for transportation from the ports in California to the railyard in Chicago. CX 163; CX 308; CX 373; CX 410; CX 441; CX 473; CX 525; CX 564; CX 605; CX 649; CX 696; CX 741; CX 806; CX 928; CX 1013; CX 1092; CX 1145; CX 1267; CX 1324; CX 1422; *see also* SResp/WPFF ¶ 42.
44. Demurrage charges for the 20 Containers began to accrue after they arrived at the Chicago rail station, while they were waiting for trucking transportation to Complainant’s warehouse in Indiana. SResp/WPFF ¶ 44.
45. On August 9, 2022, Shenzhen Unifelix emailed Way, asking for \$144,635 for 8 containers already delivered to Way’s warehouse and adding “We will send detention charge of carrier invoice to support these charge asap and explain with you.” Shenzhen Unifelix also requested payment of \$147,100 for 10 containers that had arrived at the Chicago railyard, telling Way to “pick them up asap” and asking what “detail do we need sent to you to verify the availability of those containers?” RX 542.
46. In the same August 9 email, Shenzhen Unifelix referred to “the remaining 29 containers,” which containers included the 20 Containers, and noted “these containers will arrived Chicago very soon, sea freight amount is USD 426,670. Pls pay these container sea freight with above charge together, we can’t wait you any more time. Pls pay attention to above payment issues and this formal notice about the late payment fee, if you still delay over and over again. We will not release any containers to you until you clear charge and late payment fee to us.” RX 542.
47. On August 29, 2022, Shenzhen Unifelix emailed Way, writing “Adding more information: Pls pay payment to us asap, so that we can process telex release BL to you accordingly as your payment arrive our account.” RX 540.
48. On September 2, 2022, Shenzhen Unifelix emailed Way, writing that Way should pay sea freight of \$118,540, delivery charge of \$26,095, and “additional charge” of \$26,635 for 8 delivered containers. Shenzhen Unifelix also wrote: “For the final 20 containers, you should pay all Sea Freight of 20 container together, we will process telex release BL to you as payment arrive our around.” CX 87-88.
49. On September 9, 2022, Shenzhen Unifelix emailed Way, stating:

Pls note following charge list:
 8 containers Sea Freight: USD 118,540
 8 containers Delivery Charge: USD 26,095
 8 containers additional Charge: USD 26,635
 20 containers Sea Freight: USD 294,000
 Total: USD 465,270

CX 84.

50. On September 9, 2022, Way emailed Shenzhen Unifelix, writing:

[A]fter review of your invoices we show the following and propose a payment under protest of \$449,575 for execution Monday, September 12 to secure release of the 20 remaining containers per the following analysis:

	Container Count	Total Due Per Unifelix	Total Proposed by Way	Notes
Sea Freight	28	412,540.00	412,540.00	Rates per container verified by Way, 14 containers currently available for pickup in Chicago, 6 containers remain inbound from LA/Oakland
Delivery Fee	8	26,095.00	10,400.00	Way is proposing \$1300 per container, which is at the high end of the local drayage rates charged by carriers out of Chicago. Charges listed by Unifelix that average more than \$3200/container are significantly above market.
Additional Costs	8	26,635.00	26,635.00	While Way has received detailed description of the charges, Way has not received carrier invoice copies or other objective evidence substantiating the charges. Payment for these charges are under protest.
Total Charges		\$465,270.00	\$449,575.00	

Provided email acknowledgement from Unifelix of agreement to release the remaining 20 containers for pick up with receipt of payment of \$449,575, we will release wire payment with confirmation to Unifelix upon wire execution Monday. The parties each do not waive, but reserve all rights and remedies.

We look for you[r] email acknowledgement per the detail above to move forward.

CX 82-83.

51. On September 9, 2022, Shenzhen Unifelix replied to Way, writing:

Chinese have a holiday from Sep 10 to Sep 12 Yes, Pls pay USD 449,575 to us on next Monday (Sep 12). After holiday, we will work with carrier to process telex release BL to you on Sep 13 as payment USD 449,575 arrive our account. We will send support docs and detail explanation to you for all delivery charge as we resume to work next week. You can check and process the remaining charge USD 15,695 of delivery charge to us after you confirm.

CX 82.

52. On September 13, 2022, a payment of \$449,575 to Shenzhen Unifelix was initiated by Way. CX 85.
53. On September 14, 2022, Way emailed Shenzhen Unifelix, writing: “Since payment has been sent as agreed. Please provide the pickup numbers for the remaining 20 containers ASAP.” CX 169. Later on September 14, 2022, Unifelix replied to Way, writing: “The delivery fee is still unpaid in USD 15,695, please pay it ASAP[.] UNIFELIX has not received the remaining expenses. *our company’s finance department does not agree to telex release the bill of lading.*” CX 168 (emphasis added). The \$15,695 delivery fee referenced was not a fee for containers on the bills of lading for the 20 Containers, rather this fee corresponded to containers that had already been delivered to Way’s Indiana warehouse. CX 165-66 (listing the container numbers and respective house bills of lading generating this delivery fee, which did not overlap with the 20 Containers or their bills of lading); *see also* CX 82-84.
54. As of September 14, 2022, the sea freight for all of the 20 Containers had been paid by Way. CX 449; *see also* Opposition at 11 (acknowledging Way’s September 14, 2022 payment of sea freight for the 20 Containers). Both parties agree as well that the “only invoices issued by Respondent for the 20 Containers were Debit Notes for ‘OCEAN FREIGHT PREPAID.’” SResp/WPFF ¶ 78.
55. Also as of September 14, 2022, all but 1 of the 20 Containers had arrived in Illinois, with the final of the 20 Containers arriving in Illinois on October 22, 2022.
56. The pickup numbers were required for Way to remove the 20 Containers from the Chicago rail station. SResp/WPFF ¶ 57. Without the pickup numbers being released, the 20 Containers continued to accrue demurrage charges. SResp/WPFF ¶ 58.
57. On September 15, 2022, at 12:24 A.M., Way emailed Shenzhen Unifelix, stating:
1. Your company agreed in writing (see attached) to release the containers with payment of the agreed amount. You are now legally obligated to do so.

2. Your company also agreed to provide additional support to the extraordinary charges for local drayage that are in question

a. The support you have provided to date is an agreed fee schedule

b. Since the actual charges are well in excess of that fee schedule, adequate support has not yet been provided

We have performed based on the attached agreement. You are now legally obligated to release our containers without delay, as you agreed in writing.

CX 446-47. Shenzhen Unifelix replied to this email, writing “Please check the bill provided to us by the truck company at the destination port, We have applied for telex release bill of lading to the shipping company, but please also pay USD 15,695 to our company ASAP, thank you.” CX 446.

58. On September 15, 2022, at 6:50 A.M., Shenzhen Unifelix emailed Way, writing: Bank confirmed us that payment arrived our account this afternoon. We will apply with carrier to telex release BL tomorrow morning. We will update to you as available.” CX 449.

59. On September 15, 2022, at 7:41 A.M., Shenzhen Unifelix emailed Celestial Freight and Mr. Dong Ngo at Ba-Shi Tuexin Logistics Co., writing: “Dear Dong, Pls be sure to collect all charge from consignee/WAY INTERGLOBAL NETWORK LLC before they pick up container. Thank you!” CX 94-95.

60. On September 15, 2022, at 11:05 A.M., Mr. Ngo replied to Shenzhen Unifelix and Celestial Freight, writing: “Celestial Freight is cnee on our bill. Invoices will be sent to Celestial for payment. You would need to make sure your agent collects before releasing to final customer if payment is issue.” CX 94; *see also* CX 100 (Unifelix’s Sept. 22, 2022, reply to Mr. Ngo, stating “Pls confirm us that your company and carrier HPL will hold containers until consignee clear all demurrage charge.”)

61. On September 15, 2022, at 7:38 A.M., Shenzhen Unifelix emailed its agent, Celestial Freight, with subject “*ATTENTION TO THE FINAL 20 CONTAINERS FOR Way Interglobal*,” stating:

Consignee is under very bad reputation, they delay for a long time to process payment to us. We pushing them every very day. Consignee have [responsibility] to bear all demurrage charge, storage charge and per diem. We will arrange telex release for MBL#SZPCH5728803 tomorrow morning. *But pls hold all PU# of 20 containers in your hand until consignee clear all demurrage charge at destination to carrier. Don’t release to consignee.* I only receive carrier demurrage invoice as below and attachment. Pls help to forward them to consignee today and push them to pay to carrier directly.

UFS22050434	USD 26,765
UFS22050690	USD 44,270

UFS22050740	USD 11,130
UFS22050783	USD 3,530
UFS22060607	USD 24,390
UFS22050423	USD 54,315
MSK INVOICE	USD 76,540

We also will help to push consignee to process payment. If you have other demurrage invoice, pls send them to consignee and CC to us.

CX 112 (emphases added).

62. For the demurrage totals listed in Shenzhen Unifelix's September 15 email (FOF 61), the \$76,540 owed to Maersk did not include the 20 Containers, nor did the containers in such invoice overlap with the bills of lading for the 20 Containers. FOF 12. Also for the \$140,010 in demurrage charges listed for UFS22050434, UFS22050690, UFS22050740, UFS22050783, and UFS22050423, none of these included the 20 Containers, nor did they overlap with the bills of lading for the 20 Containers. CX 5378-82; FOF 8, 11; *see also* SResp/WPFF 59 (Shenzhen Unifelix acknowledged it was "[u]ndisputed that the listed containers were not part of the 20 containers currently being litigated").
63. On September 16, 2022, at 11:22 A.M., Way emailed Shenzhen Unifelix, stating: "We have yet to receive release of the containers as communicated yesterday. Please provide immediately per your commitment." CX 449.
64. On September 16, 2022, at 1:40 P.M. Shenzhen Unifelix emailed Way, stating:

We already telex released BL today. But destination carrier informed that your company still not pay all demurrage charge for a long time. They will not release PU# to you until you clear all demurrage charge. You should clear all destination demurrage charge with carrier to pick up containers. This is destination charge that you have [responsibility] to pay due to you delay a long time to pick up containers. This is carrier HPL & MSK's action that is out of our control. Our US agent Celestial [Freight] already sent carrier invoice to you. Pls check. Your company or your trucking company can pay payment to carrier MSK and HPL directly.

CX 451.

65. On September 17, 2022, at 2:32 A.M. Way replied to Shenzhen Unifelix, stating: "The local dridge [sic] company nor Celestial has standing with any of these loads. They have no right to hold them and if that's the issue we're going to escalate this to the authorities. I expect full release of all containers immediately based upon your commitment in our agreement. Anything less than compliance will be escalated." CX 450.
66. On September 16, 2022, at 2:52 P.M. Shenzhen Unifelix emailed Way, stating:

We already telex released BL today.

But the shipping company requires you to pay the container rent generated by the container at the destination port, UNIFELIX have repeatedly reminded WAY that the container has arrived at the port of destination and asked WAY to pay ASAP, but WAY company have not paid[.]

Please note. The way company seriously violates the contract, We have repeatedly reminded WAY to pay ASAP according to the contract and told WAY that all losses caused by breach of contract should be borne by WAY resulting in additional costs at the port of destination, which should be paid by WAY company, Because it's not our UNIFELIX company's problem, So far, our UNIFELIX company has not received the delivery fee your WAY company owe us USD 15,695. WAY company has defaulted again. Please pay USD 15,695 to our UNIFELIX account ASAP
Thank you.

CX 450. The \$15,695 delivery fee referenced was not a fee for containers on the bills of lading for the 20 Containers. CX 165-66.

67. On September 21, 2022, Shenzhen Unifelix emailed Way, writing: "Have any feedback about the demurrage charge? Pls request Mike or your trucking company speed up to clear all demurrage charge to shipping line (ONE, HPL, YML, MSK). Otherwise your trucking company is [] impossible to pick up final 20 containers from shipping lines. Thank you!" CX 6750. Later on September 21, Way replied to Shenzhen Unifelix, writing "This is up to you, you are [] broker. Any delays are on [you]." CX 6750.

68. On September 22, 2022, at 6:32 A.M., Shenzhen Unifelix emailed Celestial Freight and Northstar Freight, regarding "CTN#TCNU6557513," that:

Pls note following shipping's cargo tracking, why can consignee pick up this container yesterday? We not release PU# to consignee. *You need to hold this container until consignee clear all demurrage*, we're very worry that consignee will not pay demurrage charge.

CX 97 (emphasis added).

69. On September 22, 2022, at 10:17 A.M., Northstar Freight replied to Shenzhen Unifelix and Celestial Freight, writing: "If you didn't provide the P/U # to your customer I don't understand why ONE released the container to the trucker. Without pick up # container can not be released." CX 97.

70. Also on September 22, 2022, Shenzhen Unifelix emailed Mr. Ngo, writing: "we keep pushing consignee to pay demurrage. Pls confirm us that your company and carrier HPL will hold containers until consignee clear all demurrage charge. . . . We'd better to emphasize with shipping lines to hold containers until consignee all demurrage charge." CX 100 (sentence as in original).

71. Later on September 22, 2022, Mr. Ngo replied writing: "It's a tough spot, shipment was fully released before arrival, We have to release PU# to Celestial before containers LFD

since I have no idea if/when these would be picked up. I Have already spoken with SSL & they will not hold cargo once pick up# released. Since Celestial is cnee on our bill, Celestial responsibility to either hold pick up# from end customer and/or advise trucker to NOT deliver until all charges are cleared. As previously advised, I need to know the date trucker plan to pick up in advance (2-3 days in advance) in order to get final storage invoice from carrier, otherwise it will bill after the fact.” CX 99.

72. On September 23, 2022, Shenzhen Unifelix emailed Way regarding container TXGU7118415, stating: “PU# will be held until line demurrage is cleared for your shipments. CX 934; *see also* SResp/WPFF 67.

73. On September 26, 2022, Shenzhen Unifelix emailed Way writing:

As I explained with you before. We already telex released BL. But your company not pay demurrage charge to shipping lines, so destination shipping lines hold your containers, not our company.

Pls find enclosed update demurrage charge list. For the demurrage amount in blue background, our US agent already received shipping lines’ invoice and forwarded to you. For the demurrage charge no blue background, we help you to calculate the demurrage directly. For the containers in green [background], these are final 20 container and wait to pick up.

Pls request your trucking company help to apply discount and process payment to shipping lines directly. We think that your trucking company apply discount for all container from the same shipping lines together. This will have a greater chance to get the biggest discount.

Pls deal with this case urgently and pick up final 20 containers asap. Pls note that final 20 containers are increasing demurrage charge every day.

CX 175.

74. Way was diligent about requesting and re-requesting pickup numbers, so that it could move containers out at the earliest date possible. *See, e.g.*, CX 445 (“Since payment as been sent as agreed . . . [p]lease provide the pickup numbers for the remaining 20 containers ASAP.”); CX 449; CX 174 (“When can we expect the remaining 9 PU #’s to be provided?”).
75. Way signed the verification to the complaint on Sept. 29, 2022, and the complaint was received by the Commission on October 3, 2022. Complaint at 8.
76. On October 10, 2022, Celestial Freight emailed Way, copying Shenzhen Unifelix, providing pickup numbers and locations for 11 out of the 20 Containers. CX 174 (including: BEAU4986763, CLHU8963040, FANU1742269, TCNU6557513, TCNU6756449, TXGU7117086, TXGU7118550, TXGU7119812, TXGU7120114, TXGU7120120, and TXGU7120330).

77. Later on October 10, 2022, Way replied to Shenzhen Unifelix asking when the remaining nine pickup numbers would be provided. CX 174.
78. On October 13, 2022, Celestial Freight emailed Way providing the pickup number for one additional container. CX 454 (providing the pickup number for TCNU6134091).
79. On October 21, 2022, this case was assigned Docker No. 22-28 and the Commission issued a notice of filing of complaint and assignment.
80. On October 24, 2022, Celestial Freight emailed Way and provided the pickup number and locations for another 7 of the 20 Containers. CX 423 (including: TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TGBU9704789, and TXGU7118415).
81. On November 2, 2022, the final pickup number was provided to Way. CX 1462-64; *see also* SResp/WPFF ¶ 74.
82. Once the pickup numbers were available, Way also was diligent about arranging for drayage to remove each of the 20 Containers from the Chicago railyard, to avoid incurring additional demurrage charges. *See, e.g.,* CX 178, CX 326, CX 391, CX 428, CX 456, CX 497, CX 540, CX 588, CX 631, CX 675, CX 720, CX 767, CX 877, CX 961, CX 1051, CX 1108, CX 1207, CX 1281, and CX 1340]; *see also* SResp/WPFF ¶ 75.
83. The following demurrage charges for the 20 Containers are supported by the evidence:

	Container No.	Demurrage Fees	Cite; <i>see also</i> CX 7402-03; CX 7411-12
1	BEAU4986763	\$6,230	CX 182; <i>see also</i> CX 177
2	CLHU8963040	\$6,050	CX 327
3	FANUI742269	\$8,750	CX 393
4	GAOU6616340	\$6,050	CX 403
5	TCNU6134091	\$6,050	CX 403
6	TCNU6557513	N/A	N/A
7	TCNU6756449	\$5,690	CX 516; <i>see also</i> CX 544
8	TCNU7351126	\$6,050	CX 403
9	TGBU9704789	\$6,050	CX 403
10	TLLU4212160	\$6,050	CX 403
11	TLLU5558286	\$6,050	CX 403
12	TLLU5672365	\$6,050	CX 403
13	TXGU7117086	\$7,490	CX 824; CX 881
14	TXGU7118415	\$4,610	CX 943
15	TXGU7118550	\$6,050	CX 177
16	TXGU7119812	\$6,050	CX 943
17	TXGU7120114	\$6,050	CX 1173; CX 1209
18	TXGU7120120	\$3,530	CX 177
19	TXGU7120330	\$6,230	CX 943
20	UACU5979959	\$2,155	CX 1459
	TOTAL	\$111,235	

84. The evidence also supports the following rail storage and services charges, which accrued on 7 of the 20 Containers, and which were paid by Way, as detailed below. SResp/WPFF ¶ 76 (“Undisputed that the amounts were billed and paid”).

	Container No.	Rail Fees	Cite (by container, by category); <i>see also</i> CX 7402-03; CX 7411-12
1	BEAU4986763	\$8,825.00	CX 180-81, CX 1489
2	TCNU6134091	\$12,200.00	CX 457-61, CX 1496
3	TCNU6756449	\$7,475.00	CX 542-43, CX 1505
4	TXGU7117086	\$250.00	CX 879-80, CX 1514
5	TXGU7119812	\$8,825.00	CX 1110-11, CX 1521
6	TXGU7120120	\$5,171.25	CX 1283-84, CX 1527
7	TXGU7120330	\$9,050.00	CX 1342-43, CX 1531
	TOTAL	\$51,796.25	

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

Way argues that Shenzhen Unifelix’s actions were a breach of the Transport Contract, stating that “[a]s noted in the Order denying Unifelix’s Motion to Dismiss, supplemental jurisdiction exists over Way’s breach of contract claims.” Brief at 35. Shenzhen Unifelix argues that “exercising supplemental jurisdiction over a non-existent claim would not be a productive use [of] the Commission’s resources” and argues that “Way has not articulated a viable contractual claim.” Opposition at 17-18.

Way misrepresents the order denying the motion to dismiss. First, Way’s complaint did not allege a breach of contract. Second, the order denying the motion to dismiss never mentions supplemental jurisdiction. Rather, Shenzhen Unifelix argued that the complaint should be dismissed because the alleged violations were actually an alleged failure to fulfill service obligations while Way asserted that references to the service contract do not divest the Commission of its jurisdiction and it is appropriate for the Commission to examine the service contract in determining the reasonableness of the Respondent’s actions. *See Order Denying Motion to Dismiss* at 3. The order found that: the complaint alleged Shipping Act violations, the Commission has an obligation to determine whether an entity has violated the Shipping Act, and even though part of the transport was by rail that the complaint alleged a maritime contract (i.e. maritime transportation). *Order Denying Motion to Dismiss* at 3-4.

Way did not allege a breach of contract claim in the complaint. Moreover, the Commission has jurisdiction over Shipping Act claims. That facts supporting a Shipping Act claim might also support a contract claim in another court does not divest the Commission of jurisdiction, but that does not mean that the Commission then has jurisdiction over the contract claim. As the Commission recently explained, “Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.” *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). Therefore, Way’s breach of contract claim is dismissed for lack of jurisdiction.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

3. Objections to Evidence

Shenzhen Unifelix filed a document labeled Objections to Evidence which objected to the report of Way’s expert, Mr. Guasto, arguing that the report was not produced prior to Way’s brief, it offers legal opinions, and is unsupported by the evidence. Objections at 1-3. The objections do not request that the report be stricken. Way filed a response which asserts that Shenzhen Unifelix, likewise, did not produce a report of its expert prior to filing its brief, the objections do not specify which legal opinions it contests, and Way’s response highlights evidence supporting the factual claims. Objections Response at 3-7.

Shenzhen Unifelix did not request that the report be stricken and there is no basis to do so. Moreover, to the extent that the expert relied on underlying evidence, such as the Transport Contract, the underlying evidence is more persuasive than the expert’s opinion of the evidence. Therefore, the objections impact the weight of the expert report but not its admissibility. In the future, it is preferred that such objections and responses thereto be included as sections of the parties’ briefs, not as separate filings.

B. Shipping Act Definitions

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including common carriers, which are subject to sections 41104(a)(3) and (10) at issue in this proceeding. The Shipping Act defines the term common carrier:

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country[.]

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission’s regulations:

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Shipping Act also provides that the term “ocean transportation intermediary” means “an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). The term non-vessel-operating common carrier is then defined as a common carrier that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17).

On June 16, 2022, while 12 of the 20 Containers were in transit, the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) was enacted. OSRA 2022 revised parts of the Shipping Act. Those sections, and the OSRA 2022 changes, are addressed below. The Shipping Act sections at issue here include: (1) section 41102(c) regarding unjust and unreasonable practices, (2) section 41102(d) regarding discrimination, (2) section 41103(a)(1) regarding disclosure of information, and (4) section 41104(a)(10) regarding refusal to deal. In addition, OSRA 2022 changes impact potential reparations, discussed after the Shipping Act sections.

C. Discussion

1. Section 41102(c): Unjust and Unreasonable Practices

a. Relevant Law

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with

receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64480 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Failure of an NVOCC to “carry out [an] obligation it was paid to perform” may constitute a violation of section 41102(c). *Bimsha Int’l v. Chief Cargo Servs., Inc.*, 2013 WL 9808692, at *5 (FMC Sept. 4, 2013), *aff’d sub nom. Chief Cargo Servs. v. FMC*, 586 Fed. Appx. 730 (2nd Cir. 2014). As an example, the Commission noted an NVOCC was held to have violated section 10(d)(1) “when it refused to release the cargo at destination port unless additional money was paid, and instructed its agent to place the shipment on hold.” *Bimsha Int’l*, 2013 WL 9808692, at *5 (citing to *Brewer v. Maralan*, Docket No. 99-19, 29 S.R.R. 6, 9 (FMC Jan. 3, 2001)); *see also Corpco Int’l Inc. v. Straightway, Inc.*, Docket No. 97-05, 1998 WL 940257, at *7 (FMC June 8, 1998) (affirming “the ALJ’s conclusion that Straightway violated section 10(d)(1) of the Act by forcing its customer to pay additional transshipment costs to obtain the negotiable bill of lading necessary to effect the delivery of certain cargo.”) The Commission similarly affirmed that an NVOCC had violated section 10(d)(1) “by withholding and aborting a shipment to coerce payment of debt for other shipments.” *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2013 WL 9808694, at *6 (FMC Oct. 31, 2013).

In *Adenariwo*, the Settlement Officer (“SO”) found a Section 41102(c) violation where the vessel-operating common carrier had refused to release a container based on storage charges assessed for another container. *Adenariwo v. BDP Int’l*, Docket No. 1921(I), 2013 WL 12618258 (SO Mar. 7, 2013) (“*Adenariwo (SO)*”), *aff’d* 2014 WL 13110647 (FMC Feb. 20, 2014), *partially aff’d on other grounds sub nom. Adenariwo v. FMC*, 808 F.3d 74 (D.C. Cir. 2015). The Commission affirmed the Settlement Officer’s decision, reasoning:

The SO properly found that Zim violated § 10(d)(1) of the Shipping Act, 46 U.S.C. §41102(c), relying primarily on *Colgate Palmolive Co. v. The Grace Line*, 14 S.R.R. 600, 602 (FMC 1974), in which the Commission stated that ““the

merits of each claim must be considered *in toto* and independent of claims under any other bill of lading.” The SO properly reasoned that, while the law permits carriers to exercise valid maritime liens and hold a shipment for charges that accrue on that specific shipment’s bill of lading, holding a shipment for charges unrelated to that shipment is unreasonable.

Adenariwo v. BDP Int’l, 2014 WL 13110647 at *1 (FMC Feb. 20, 2014) (“*Adenariwo (FMC)*”) (footnotes omitted).

Regarding maritime liens, there is clear and consistent precedent that disputes over unrelated shipments, including shipments on separate bills of lading, cannot be used by a carrier as justification for refusing to release the cargo. As explained in *Bernard & Weldcraft*:

A carrier can withhold delivery of cargo to compel the shipper to pay freight money that is lawfully owed and has a cargo lien which the carrier can assert if necessary, which lien the carrier loses if it surrenders the cargo. Conversely, if a shipper or consignee induces the carrier to surrender the cargo and thus lose its lien, and thereafter refuses to pay the lawful freight money owed because the shipper or consignee has outstanding disputes with the carrier on earlier unrelated shipments, and withholds payment of the lawful freight as a means to coerce the carrier to settle the disputes on earlier unrelated shipments, the shipper or consignee has acted unlawfully, in violation of section 10(a)(1) of the 1984 Act. Thus, disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.

Bernard & Weldcraft Welding Equip. v. Supertrans Int’l, Docket No. 02-12, 2003 WL 136313, at *14 n.14 (ALJ Jan. 8, 2003) (underline in original; citations omitted), admin. final Feb. 12, 2003; see also *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2012 WL 11914703, at *17 (ALJ Aug. 14, 2012) (“*Petra Pet (ALJ)*”) *aff’d* 2013 WL 9808694 (FMC Oct. 31, 2013) (a lien against cargo “cannot be applied . . . beyond the amount of freight stipulated in the bill of lading” (quoting *American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*, 115 F. 669, 672 (1st Cir. 1902))).

The Commission has also provided specific guidance on factors to consider in determining whether demurrage and detention charges violate section 41102(c) in the Demurrage and Detention Rule, which went into effect May 18, 2020. 85 Fed. Reg. 29638 (May 18, 2020). Commission Rule 545.5 provides in pertinent part:

(a) *Purpose*. The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

(b) *Applicability and scope*. This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean

transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges.

(c) *Incentive principle*—(1) *General*. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) *Particular applications of incentive principle*—(i) *Cargo availability*. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval. . . .

(iii) *Notice of cargo availability*. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice. . . .

46 C.F.R. § 545.5.

b. Parties’ Arguments

Way asserts that: the Commission has found that the actions of a common carrier, such as Shenzhen Unifelix, which holds cargo hostage for unrelated freight and demurrage charges, has violated 46 U.S.C. 41102(c); Shenzhen Unifelix’s own communications with its agent, Celestial Freight, demonstrate that it acted unreasonably when it wrongfully and repeatedly refused to release the 20 Containers to Way well after all charges related to the 20 Containers had been paid, under protest, by Way; the lien upon cargo exists upon that cargo alone and a carrier who holds up cargo and exacts any charge unrelated to that cargo before its release has violated its duties under the Shipping Act; as demonstrated by the timeline over which these actions occurred, and the numerous coerced payments demanded by Shenzhen Unifelix, these actions were normal, customary, and continuous; and even though its status with the ocean carriers is as a shipper, this does not relieve it of its duties to Way as an NVOCC and as a common carrier under the Shipping Act. Brief 27-32; Reply at 25-28.

Shenzhen Unifelix contends that: it was not holding the cargo “hostage,” rather it was just adhering to the terms of contract governing the delivery of the cargo; the only terms that changed from how the initial 46 containers were handled was that instead of Shenzhen Unifelix arranging and paying the truckers for transport to Way’s warehouse and then billing Way for those services after delivery, Way paid the truckers directly and Way also had to pay the ocean freight prior to the release of the cargo instead of after the cargo was delivered to Way’s warehouse; the payment of the ocean freight prior to the release of cargo was part of the terms of the shipment as agreed by both parties and therefore requiring payment of ocean freight prior to their release was appropriate; and Way cites cases for the proposition that a carrier should not withhold shipments for debts on unrelated earlier shipments, but Way has not submitted any

evidence to suggest that the other shipments in this current action were either earlier or unrelated. Opposition at 10-12.

c. Analysis

To succeed in a claim for reparations alleging a violation of section 41102(c), five elements must be shown. Each is addressed below, including whether: (i) Shenzhen Unifelix is a common carrier in connection with the 20 Containers; (ii) the practice at issue, holding cargo for unrelated charges, relates to or is connected with the receiving, handling, storing, or delivering of property; (iii) the practice is unreasonable; (iv) the practice is occurring on a normal, customary, and continuous basis; and (v) proximate cause. The only element over which there is a significant dispute is the reasonableness element.

i. Common Carrier

The first element requires that the respondent be an ocean common carrier, marine terminal operator, or ocean transportation intermediary. Way asserts that Shenzhen Unifelix is an NVOCC and common carrier. Brief at 28. Shenzhen Unifelix does not contest this element. The evidence demonstrates that Shenzhen Unifelix is an NVOCC with respect to the 20 Containers shipped for Way. FOF 4. An NVOCC is a type of ocean transportation intermediary. 46 U.S.C. § 40102(20). Therefore, this first element of 41102(c) is met.

ii. Receiving, Handling, Storing, or Delivering of Property

Way does not directly address the element requiring that the practice be related to or connected with the receiving, handling, storing, or delivering of property, although it frequently mentions issues with the delivery of the 20 Containers. Brief at 9-14, 40. Shenzhen Unifelix similarly does not address this factor but discusses deliveries. Opposition at 7-10.

The evidence shows that the practices at issue involve Shenzhen Unifelix's handling, storing, and delivery of Way's cargo from China to the United States. The element requiring that the practice in dispute be related to or connected with the receiving, handling, storing, or delivering of property is thus demonstrated.

iii. Unjust or Unreasonable Practice

(a) Parties' Arguments

Way alleges that Shenzhen Unifelix unreasonably held cargo hostage for unrelated freight and demurrage charges; when Way paid the charges related to the 20 Containers, Shenzhen Unifelix had no right to continue to refuse the release of the 20 Containers; and Shenzhen Unifelix failed to provide timely notice of cargo availability, to justify the charges assessed, or to provide supporting documents. Brief at 27-32. In its reply, Way asserts that Shenzhen Unifelix offers no case law to support its argument that the 20 Containers were related to the other containers; and after Unifelix finally provided the pickup numbers, Way acted with reasonable diligence in arranging for truck transportation to remove the 20 Containers from the Chicago yard to avoid incurring additional demurrage charges. Reply at 25-28.

Shenzhen Unifelix asserts that it did not hold the cargo hostage, rather it reasonably refused to extend itself beyond the contractually mandated terms so insisted on payment before delivery and on Way arranging its own trucking; Way's cases can be distinguished because they involve "earlier unrelated shipments" and these shipments were contemporaneous and transported under the same arrangement; its actions were "eminently reasonable, lawful, and reasonably related considering the number of containers, the amount of demurrage at stake, and Way's prior failure to pay;" there was no enforceable contract requiring Unifelix to arrange drayage since the Transport Contract is not an enforceable contract; fees were imposed by the shipping lines and only passed through; and notification was provided for all containers prior to their last free day. Opposition at 10-15.

(b) Agreement

Way asserts that the Transport Contract was a binding agreement that did not change and could not be unilaterally changed by Shenzhen Unifelix. Brief at 3-4, 6-7, 37-38.

Shenzhen Unifelix takes the alternating positions in briefing that there was no agreement;⁴ but also that Shenzhen Unifelix was adhering to a new agreement, which terms had changed from the earlier agreement.⁵ Shenzhen Unifelix asserts that the changed terms, including Way arranging for trucking *and* paying of ocean freight prior to the release of the cargo, were "part of the terms of the shipment as agreed by both parties," despite Shenzhen Unifelix presenting no reliable evidence of agreement to these "changed" terms by Way. At the same time, Shenzhen Unifelix points to the document stamped and signed by both parties, just three months prior to the shipment of the 20 Containers, and asserts this not to be a binding contract. *See, e.g.*, Opposition at 10-11. Shenzhen Unifelix's argument continues: "[o]nce Way failed to pay promptly upon demand, Unifelix reasonably refused to extend itself beyond the *contractually mandated* terms. It therefore then insisted on payment before delivery, and insisted that Way arrange its own trucking." Opposition at 11 (emphasis added).

Shenzhen Unifelix relies on the declaration of its Operations Manager, Ms. Huang, who states that the "conclusion of those discussions resulted in Way agreeing to arrange picking up

⁴ *See, e.g.*, Opposition at 11 ("Way has argued that the terms of the contract were improperly changed after the cargo was underway. This is incorrect. While the initial 20 containers were delivered directly to Way's warehouse and Unifelix did not try to collect ocean freight until after delivery, *this was not done pursuant to a binding contract.*") (emphasis added).

⁵ *See, e.g.*, Opposition at 10 ("Way alleges that Unifelix held 'the cargo hostage' despite the fact that Unifelix *was just adhering to the terms of contract* governing the delivery of the cargo. *The only terms that changed from how the initial 46 containers were handled* was that instead of Unifelix arranging and paying the truckers for transport to Way's warehouse and then billing Way for those services after delivery, Way paid the truckers directly. Way also had to pay the ocean freight prior to the release of the cargo instead of after the cargo was delivered to Way's warehouse.") (emphases added).

the containers from the rail yards and paying ocean freight prior to the release.” RX 982.⁶ However, the contemporaneous correspondence does not show that Way agreed to such changes. The contemporaneous correspondence is more credible than the current assertion of Shenzhen Unifelix’s employee. Further, in its Answer, responding to Way’s assertion that on or about March 22, 2022, Way entered into a service contract with Unifelix, Shenzhen Unifelix “admits that it entered into a service contract with Way” and states that the contract speaks for itself. Answer ¶ 8.

The evidence shows the existence of an agreement between Way and Shenzhen Unifelix, covering the 20 Containers. This Transport Contract agreement was signed by both parties on March 22, 2022, and valid for one year. FOF 6. Among the agreement’s terms were that Shenzhen Unifelix had responsibility for Way’s “trucking, and sea freight export services” thus rendering this door delivery. FOF 7 (also specifying Shenzhen Unifelix “will arrange booking and trucking”). The agreement’s payment terms were “[w]ithin 7 days after receiving the goods at Party A [Way]’s local warehouse.” FOF 7. Regarding changes to the agreement, the agreement specified that if “any party needs to amend the charge, the two parties need to negotiate and confirm again before transportation. The two parties can not alter any charge when cargo is transporting.” FOF 7.

Shenzhen Unifelix asserts, based on Mr. Kardian’s Declaration, that the Transport Contract is not an NVOCC Service Arrangement (“NSA”) or a NVOCC Rate Arrangement (“NRA”), but rather a memorandum of understanding. CX 971-72. However, the agreement does not have to be an NRA or an NSA to provide guidance regarding the parties’ expectations. Moreover, it is not necessary to determine whether the agreement was a binding contract, as this is a Shipping Act claim, not a breach of contract claim. The agreement can be used to evaluate reasonableness.

In contemporaneous communications, Shenzhen Unifelix referred to the contract, for example requesting changes to payment timing on June 14, 2022, and trucking responsibilities on July 22, 2022, which requests would not be needed but for a binding agreement already having been in place. FOF 18; FOF 28 (“our company requires to change the contract terms”). Shenzhen Unifelix also repeatedly refers in contemporaneous communications to a contract existing between the parties. *See, e.g.*, CX 6-7 (“according to the contract”); CX 6132 (“we have signed a contract”); CX 12-13 (“as agreed in the contract”); *see also* Reply at 23-24. Indeed, in contemporaneous communications, Shenzhen Unifelix directly affirms both the May 2022 contract itself, and also the specific terms it now seeks to dispute. *See, e.g.* CX 6-7 (On June 14, 2022, “According to the contract, our payment term should be within 7 days after receiving the goods” and “We need to arrange the radio release immediately and then arrange the truck delivery.”); CX 44-45 (On July 22, 2022, “Please understand and sign the new contract.”); CX 11 (On July 25, 2022, “The freight of these 8 containers, can be paid to our company within 7 days after receiving the goods according to the original contract.”).

⁶ The record contains a signed copy of Ms. Huang’s Declaration without Bates numbers. Way objects as the signed version was submitted late, on October 9, 2023. Reply at 1-3. There is no evidence that the slight delay caused any prejudice. The objection to the Declaration is denied.

By the time the last of the 20 Containers left China, there is no contemporaneous evidence of any mutually agreed upon change to this agreement. Rather, the record shows Shenzhen Unifelix's request for a change and Way's rejection of any change. FOF 29 ("We are not going to sign a new contract and you are expected to abide by the existing contract for any containers you have moved. Your responsibility is to get product from China to door Elkhart."). The first time Shenzhen Unifelix indicates it will no longer provide trucking for Way was on July 22, 2022, after all 20 Containers had left China and were in California. FOF 23, 28; CX 332.

Shenzhen Unifelix began the transport of the 20 Containers with the May 2022 agreement in place. "All cargo carried for compensation moves on some form of transportation agreement, express or implied." *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 321 (FMC Aug. 2, 1962). Shenzhen Unifelix then attempted to unilaterally change this agreement, by refusing to provide trucking services to Way's warehouse in Indiana, and also by demanding payment in advance of such delivery, rather than seven days after delivery to Way's warehouse. Because Shenzhen Unifelix refused to provide trucking services between the Chicago railyard and Way's Indiana warehouse, Way was forced to instead arrange trucking for this final leg, once it was able to secure the release of the containers.

(c) Reasonableness

Shenzhen Unifelix intermingles arguments concerning the existence of a contract and the reasonableness of its actions. However, as addressed above, there was an agreement between the parties and no mutually agreed upon changes to this agreement. The primary question to be determined is whether the practice alleged by Way, that Shenzhen Unifelix held cargo for unrelated freight and demurrage charges, is unreasonable. The evidence shows that Shenzhen Unifelix held the 20 Containers based on demands for unrelated charges and that such conduct is unreasonable under Section 41102(c).

Commission law is clear that "transportation of cargo cannot be aborted or cargo held to coerce payment of debt for other shipments." *Petra Pet (ALJ)*, 2012 WL 11914703, at *22; *Bernard & Weldcraft Welding*, 2003 WL 136313, at *14 n.14 (disputes over earlier unrelated shipments cannot be used by a shipper as justification for refusing to release the cargo); *Tianshan v. Tianjin Hua Feng Transport*, Docket No. 08-04, 2011 WL 7144007, at *17 (ALJ Mar. 9, 2011) ("An NVOCC that holds cargo hostage to its demands for money allegedly owed for prior shipments violates section 10(d)(1)."), admin. final April 12, 2011. Similarly, Commission case law indicates that cargo cannot be held to obtain additional fees or to collect an unreasonable debt. *Corpro Int'l*, 1998 WL 940257, at *7 ("Straightway violated section 10(d)(1) of the Act by forcing its customer to pay additional transshipment costs to obtain the negotiable bill of lading necessary to effect the delivery of certain cargo."); *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, 1998 WL 940255 (FMC Dec. 10, 1998) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of 10(d)(1)).

Indeed, the facts here strongly mirror those in *Adenariwo*, where the Commission affirmed that the Settlement Officer had properly found a violation of 41102(c). *Adenariwo (FMC)*, 2014 WL 13110647, at *1. In *Adenariwo*, the complainant alleged that pursuant to the order of Zim, the vessel operating common carrier, a container "was unreasonably held by Zim's agent Lansal until payment for storage charges for a separate container shipment was made."

Adenariwo (FMC), 2014 WL 13110647, at *1. In its opposition, “Zim pointed to the general lien clause in the terms and conditions of shipment, and said that its refusal to release the second shipment based on outstanding charges on a separate shipment was reasonable pursuant to its contractual rights.” *Adenariwo (FMC)*, 2014 WL 13110647, at *1.

The Settlement Officer had first noted that “the Commission has stated that each bill of lading is a separate transaction under the Shipping Act” and therefore held that the law permitted Zim “to exercise a valid maritime lien and hold a shipment based on the charges that accrued on the bill of lading covering that specific shipment.” *Adenariwo (SO)*, 2013 WL 12618258, at *6. The Settlement Officer therefore held that Zim violated 41102(c) because the “act of holding a shipment for an unrelated shipment’s charges is an unreasonable practice under the Shipping Act.” *Adenariwo (SO)*, 2013 WL 12618258, at *6. The Commission affirmed the decision, noting that “while the law permits carriers to exercise valid maritime liens and hold a shipment for charges that accrue on that specific shipment’s bill of lading, holding a shipment for charges unrelated to that shipment is unreasonable.” *Adenariwo (FMC)*, 2014 WL 13110647, at *1 (footnote omitted). The Commission also affirmed an award of damages to Adenariwo, although the D.C. Circuit held that Adenariwo’s damages ought not be reduced by mitigation. *Adenariwo v. FMC*, 808 F.3d 74, 76 (D.C. Cir. 2015).

Here, Way had paid the full sea freight for the 20 Containers as of September 14, 2022. FOF 54. Shenzhen Unifelix accepted the payment, but nevertheless refused to release the 20 Containers, until charges corresponding to other containers, on separate bills of lading, had been paid. Specifically, Shenzhen Unifelix’s September 15, 2022, email directed its agent, Celestial Freight, to “hold all PU# of 20 containers in your hand until consignee clear all demurrage charge at destination to carrier.” FOF 61. Shenzhen Unifelix then listed container demurrage charges of \$76,540 owed to Maersk and \$140,010 in other demurrage charges, which did not include the 20 Containers, nor did these overlap with the bills of lading for the 20 Containers. FOF 61-62. Thus, the facts are similar to those in *Adenariwo*.

Shenzhen Unifelix asserts that the other containers were not earlier or unrelated, but rather contemporaneous and transported under the same arrangement with Way. Opposition at 12. Neither party provides caselaw clarifying precisely what is meant by “unrelated shipments,” for example, whether any fee demanded for any other container would be “unrelated.” But, at a minimum, shipments on other bills of lading are “unrelated.” *Adenariwo (FMC)*, 2014 WL 13110647, at *1. That is sufficient for a determination here, as Shenzhen Unifelix repeatedly held the 20 Containers, demanding payments involving separate bills of lading.

Shenzhen Unifelix further asserts that its actions were “eminently reasonable, lawful and reasonably related considering the number of containers, the amount of demurrage at stake and Way’s prior failure to pay. Unifelix was facing an existential threat to its business, and therefore took necessary and reasonable steps to exercise its lien to ensure Way paid its debts.” Opposition at 13. But, there was no valid lien on the 20 Containers, based on demurrage accrued for other containers. *Petra Pet (ALJ)*, 2012 WL 11914703, at *17, *24 (“a maritime lien secures money lawfully owed for the carriage of that particular shipment” and once “those shipments were released, any maritime lien expired.”). Moreover, the overall pattern was that Way continued to make large payments to Shenzhen Unifelix, even processing payments under protest in order to keep the flow of containers moving. See, e.g., FOF 27 (in mid-July 2022, Way processed a

\$746,617 payment to Shenzhen Unifelix); FOF 39 (in late July 2022, Way processed a \$983,780 payment to Shenzhen Unifelix); FOF 52 (in mid-September 2022, Way processed a payment under protest of \$449,575 to Shenzhen Unifelix).

Adding to the unreasonableness of Shenzhen Unifelix's conduct, it repeatedly promised that it would release the 20 Containers once the sea freight was paid. FOF 32, 35, 37, 40, 48, 51. But then as soon as the sea freight payment had been received, it prevented their release, via its instruction to its agent to hold containers pending fees for unrelated containers. FOF 61. Furthermore, per the Transport Contract, Way did not even owe sea freight until seven days *after* Shenzhen Unifelix had delivered the 20 Containers to its Indiana warehouse – something Shenzhen Unifelix never accomplished. FOF 7, 82. Way's payment in advance of the terms agreed shows its good faith and attempt to keep containers moving. By contrast, Shenzhen Unifelix's unreasonable conduct, holding containers to obtain payments for other containers, is inconsistent with the incentive principle, leaving containers in transit longer than necessary. This element of unreasonableness is met.

iv. Normal, Customary, and Continuous Basis

Way asserts that Shenzhen Unifelix wrongfully and repeatedly refused to release the 20 Containers to Way well after all charges related to the 20 Containers had been paid. Brief at 30. Shenzhen Unifelix does not address this element. Opposition 1-19.

The evidence shows that Shenzhen Unifelix repeatedly communicated that it would not release one or more of the 20 Containers to Way until unrelated fees were paid, although sometimes varying the unrelated fees it demanded. *See, e.g.*, FOF 53, 60-61, 64, 66-68. The 20 Containers arrived on different dates and were separately detained, so the unreasonable practice occurred multiple times. Moreover, Shenzhen Unifelix repeatedly asserted that it could, and had, unilaterally changed the terms of the parties' agreement. *See, e.g.*, CX 44-45; CX 11.

Additionally, the evidence shows that Shenzhen Unifelix did not just fail to release these 20 Containers but that it threatened not to release other containers to obtain payments. For example, on August 9, 2022, Shenzhen Unifelix requested various payments across 47 containers and stated: "We will not release *any* containers to you until you clear charge and late payment fee to us." RX 542 (emphasis added). And, on September 21, 2022, Shenzhen Unifelix stated that Way would have to "clear all demurrage charge to shipping line (ONE, HPL, YML, MSK)" warning that "[o]therwise your trucking company [is] impossible to pick up final 20 containers from shipping lines." FOF 67; FOF 12 (note that the 20 Containers were shipped by HPL and ONE, not by YML or MSK).

Shenzhen Unifelix's unreasonable practice of holding containers based on demands for fees for other containers was thus well-established, and the evidence shows it to be normal, customary, and continuous. This element is met.

v. Proximate Cause

Way argues that "these violations proximately caused significant damage to Way." Brief at 39. Shenzhen Unifelix does not directly address this element, although it claims that it was

“faced with a large number of shipments, uncontrollable port and rail delays and a customer that refused to pay promptly.” Opposition at 4.

In September, when Shenzhen Unifelix refuses to release the container pickup numbers, the reasons cited by Unifelix are to collect more money from Way for other bills of lading, not shipping congestion. CX 11; CX 49-50. Therefore, the contemporaneous correspondence does not support that shipping congestion caused Shenzhen Unifelix’s refusal to release the pickup numbers or to deliver the 20 Containers.

Shenzhen Unifelix’s unreasonable practice of holding containers based on demands for fees for other containers was the proximate cause of the delay in releasing the 20 Containers at issue here. Once the pickup numbers were released, Way was diligent about arranging for drayage to remove each of the 20 Containers from the Chicago railyard, despite trucking being Shenzhen Unifelix’s responsibility. FOF 82. While Shenzhen Unifelix notified Way when the containers arrived, without Shenzhen Unifelix releasing the pickup numbers, Way could not act on that notice. Shenzhen Unifelix’s failure to pick up and deliver the containers to Way’s warehouse in Elkhart, as promised, or even to release the pickup numbers for the 20 Containers, caused the demurrage and railyard fees that accrued. Therefore, this element is met for the 20 Containers.

As a result, all five Section 41102(c) elements have been established. Way’s reparations request is discussed below, in section III.D.

2. Section 41102(d): Discrimination

In its complaint, Way alleges that Shenzhen Unifelix “engaged in unfair or unjustly discriminatory action in violation of 46 U.S.C. § 41102(d).” Complaint, ¶ 19. In briefing, Way combines its discussion of Section 41102(d) with the Section 41102(c) discussion. Brief at 27-32. Shenzhen Unifelix argues that Section 41102(d) “prohibiting retaliation and other discriminatory actions” are not “applicable to the facts of this case.” Opposition at 10.

Way cites to Section 41102(d), which was added as part of OSRA 2022. Section 41102(d) states:

(d) Retaliation and Other Discriminatory Actions.—A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not:

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for-

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has-(i) patronized another carrier; or (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d) (2023). Prior to OSRA 2022, retaliation and discrimination were addressed in Section 41104(a), which stated that:

(a) In general.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not ...

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason

46 U.S.C. § 41102(a)(3) (effective Dec. 4, 2018, to June 15, 2022).

Way's arguments do not mention retaliation or discrimination. Rather, Way contends that the invoices submitted by Shenzhen Unifelix "failed to provide the information required by 46 U.S.C. § 41102(d)" showing that such charges comply with all provisions of part 46 C.F.R. § 545 and applicable provisions and regulations; the invoices failed to provide the information necessary to explain the invoice, i.e. "who is being charged, for what, by whom, and how disputes can be addressed in a timely fashion;" and Shenzhen Unifelix's actions are a clear violation of the Commission's directives and are unreasonable as a matter of law. Brief at 32. However, section 41102(d) does not relate to providing information nor to the reasonableness of practices. Way has not provided evidence or argument that Shenzhen Unifelix retaliated against it or had "unfair or discriminatory" practices. Therefore, the Section 41102(d) claim is dismissed.

3. Section 41103(a)(1): Disclosure of Information

Way alleges that: Shenzhen Unifelix engaged in a smear campaign against Way by contacting its suppliers and demanding payments for freight and demurrage, and also by contacting freight forwarders and other companies within Way's supply chain and claiming that Way had a bad reputation for paying its bills; by spreading false and inaccurate information about the shipments and Way's payments, Shenzhen Unifelix created a false cloud of uncertainty related to Way causing other entities in the supply chain to demand payment from Way directly; this resulted in unlawful coercion of payments by Way for charges on unrelated containers in order to secure the release of the 20 Containers being wrongfully held by Shenzhen Unifelix; and Shenzhen Unifelix attempts to change the standard of a violation of Section §41103(a)(1) by claiming it disclosed "truthful" information. Brief at 33; Reply at 29.

Shenzhen Unifelix asserts that: Section 41103(a)(1) prohibits disclosing very specific information regarding shipments without permission of the shipper or consignee; here, no information was disclosed regarding the "nature, kind, quantity, destination, consignee, or routing of any property" that was tendered to Shenzhen Unifelix; rather, the allegation is that Shenzhen Unifelix informed Way's suppliers that Way was not paying its bills; because the suppliers were the shippers of the cargo, they had potential liability to the carriers for Way's unpaid invoices; notification was not only permitted under this code section it was reasonable and appropriate; and while Way complains that the disclosures were false, Way has not put

forward evidence to suggest that it had paid the invoices at the time of the disclosures. Opposition at 15-16.

Section 41103(a)(1) states that:

(a) Prohibition.—A common carrier, marine terminal operator or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information – (1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier

46 U.S.C. § 41103(a)(1) (previously section 10(b)(13)).

As the Commission explained:

In order to establish a violation of section 10(b)(13), the following elements must be shown: (1) disclosure of information concerning the nature, kind, quantity, destination, consignee or routing of property tendered or delivered to a common carrier; (2) that such disclosure was knowingly made by a common carrier or ocean freight forwarder, either alone or in conjunction with any other person; and (3) that the information disclosed is of the type that could be used to the detriment or prejudice of the shipper, consignee, or any common carrier, or could improperly disclose its business transaction to a competitor. In order to receive reparations for a violation of section 10(b)(13), a complainant must show that disclosure of information caused actual injury.

DNB Exports LLC. v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S., 33 S.R.R. 670, 679 (FMC 2014) (footnote omitted).

Way cites one case discussing Section 41103(a)(1) and claims that the “the standard doesn’t prohibit the disclosure of false information” but rather it “prohibits the disclosure of *any* information that was used for the detriment or prejudice of Way.” Reply at 29 (emphasis added). However, that cited case focused on whether the information was disclosed to “someone who might reasonably be expected to act to the detriment or prejudice of Complainant,” stating:

Successful ocean shipments require coordination with employees, agents, and contractors. There are no allegations here that there was information disclosed to Complainant’s competitor or someone who might reasonably be expected to act to the detriment or prejudice of Complainant. Indeed, in reading the complaint, the lack of coordination between the Respondent’s local movers, storage facility, and new movers appears to be one of the concerns. The objection, here, seems to focus on the handling of the shipment, not the sharing of information. Complainant’s section 41103(a)(1) claim thus does not state a plausible claim for relief.

Dukart v. Ocean Star Int’l Inc., Docket No. 20-03, 2020 WL 3994385, at *13 (ALJ July 10, 2020) (Initial Decision Granting Voluntary Dismissal), admin. final Aug. 11, 2020.

Way does not provide clear cites regarding what evidence supports this allegation. Its expert, Mr. Guasto, cites a July 19, 2022, email and states that providing “information of this nature to a client’s vendors is in violation of industry standards and is a knowing disclosure of information that was used to the detriment or prejudice of Way.” CX 7408. The evidence shows that on July 19, 2022, Way sent an email to Shenzhen Unifelix stating that they “received information today from several of our vendors/suppliers that you have approached them for payment of freight. I also learned you shared information regarding payments from WAY to Uniflex that is incomplete and inaccurate.” CX 105. While hearsay such as this email are admissible in agency adjudications, the information has limited reliability as it lacks key data, such as who was contacted and what was said. Thus, this email alone is not sufficient to establish a violation based on inappropriate disclosure of information.

Similarly, Way’s expert declaration, from Mr. McKenna, stating that Shenzhen Unifelix’s lawyers would collect ocean freight from suppliers according to Chinese law is hearsay with limited reliability and details. CX 7390-92. Shenzhen Unifelix told Way that “If you can pay the freight, our lawyer will stop asking the factory to pay the freight and stop taking the next legal measures against the factory.” CX 50. It is difficult to see how contacting the shipper would constitute a violation of a section which requires the communication to be “without the consent of the shipper” and which “may be used to the detriment or prejudice of the shipper.” 46 U.S.C. § 41103(a)(1).

Therefore, the hearsay evidence presented is insufficient to show what precisely Shenzhen Unifelix communicated to third parties. What communications are in the record are not of the type that could be used to the detriment or prejudice of the shipper, consignee, or any common carrier, or could improperly disclose its business transaction to a competitor. Therefore Way has not carried its burden of proof and this claim is denied.

The evidence shows that disclosures were made to the shippers, consignees, agents, and third parties who Shenzhen Unifelix believed would be involved in releasing the containers. Although the failure to release the containers was unreasonable here, as discussed above, the communication of whether or not to release containers, communicated to appropriate parties, is not a Shipping Act violation without more. Moreover, communication was about payment and release of the containers and not the “nature, kind, quantity, destination, consignee, or routing of any property” as required by this section of the Shipping Act. 46 U.S.C. § 41103(a)(1). Accordingly, Way has not established a violation of Section 41103(a)(1).

4. Section 41104(a)(10): Refusal to Negotiate or Deal

Way asserts that Shenzhen Unifelix refused to deal because it (a) failed to provide backup for the invoices and (b) refused to complete the drayage of the 20 Containers from the rail yard to Way’s facility, which it describes as “an effort to shut out Way.” Brief at 33-34.

Shenzhen Unifelix contends that it had no obligation to arrange trucking to Way’s warehouse since the Transport Contract is not a binding agreement; instead, the shipments were governed by the house bill of lading which called for “shipment to the railyards in Chicago and Joliet” and Shenzhen Unifelix also had a legitimate, transportation related concern about doing further business with Way because it failed to pay its freight bills on time. Opposition at 16-17.

Section 41104(a)(10) prohibits a common carrier from unreasonably refusing to deal or negotiate. 46 U.S.C. § 41104(a)(10). OSRA 2022 added clarifying language, not relevant here, that specifies this prohibition includes “with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10).

The Commission has discussed refusals to negotiate or deal, finding that a common carrier should “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 2002 WL 33836158, at *5 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. App’x 681 (D.C. Cir. 2003). The Commission has stated that “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” *Canaveral Port Authority – Possible Violations of Section 10(b)(10)*, Docket No. 02-02, 2003 WL 723336, at *18 (FMC Feb. 24, 2003). “Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,” although the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable. *Canaveral Port Authority*, 2003 WL 723336, at *13, *18. To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondent is a common carrier, (b) Respondent refused to deal or negotiate, and (c) such refusal was unreasonable.

Shenzhen Unifelix is an NVOCC, a type of common carrier, so the first element is met. The question is whether Shenzhen Unifelix refused to deal or negotiate and whether any refusal was unreasonable regarding proving backup invoices or completing delivery of the 20 Containers.

First, Way alleges that required backup for the invoices were not provided to it and that it was “virtually impossible for Way to verify the sums actually due” for the shipments. Brief at 31, 33, 35. Shenzhen Unifelix asserts that “Way initially did not respond to invoices or repeated emails seeking payment, but, in the end, paid the invoices less a discount that it demanded with no legitimate explanation” and that ocean freight and demurrage were not conflated because they were charged at different times by different entities. Opposition at 7, 14-15.

Way contends that failing to provide backup evidence of the invoiced charges constitutes refusal to deal, although it does not cite any caselaw supporting that interpretation. Brief at 33, Reply at 29 (“Unifelix failed to credibly refute that Way also objected to demurrage fees but couldn’t even object to them directly because Unifelix would not provide the ocean carrier bills of lading nor the true invoices from the related ocean carriers.”). Shenzhen Unifelix does not directly address this argument. However, it is not clear that refusal to provide certain documents is an unreasonable refusal to deal, and Way does not provide sufficient analysis to make such a finding under these facts.

The evidence shows recurring disagreement and delays concerning billing. However, it does not show that Shenzhen Unifelix ceased communicating with Way about billing. In contemporaneous communications, Way requested information to verify charges and claimed that Shenzhen Unifelix was providing incomplete, inaccurate, and/or unsupported invoice information. *See, e.g., CX 6074* (“The charges are far beyond typical drayage – we’ll need the related invoices and supporting detail to understand the charges and process accordingly”);

CX 47; CX 51; RX 449; CX 6081. In contemporaneous communications, Shenzhen Unifelix claimed that Way was late in making payments. *See, e.g.*, CX 44-45 (“the longest overdue invoice has been reached 29 days, it has brought great trouble to our company”); CX 11; CX 49-50. Moreover, Shenzhen Unifelix asserts that many of these are just pass-through charges. Opposition at 14. While the parties had differing views on the invoices, the record shows frequent communication between the parties regarding the billing status, which constitutes evidence of continued negotiations.

Shenzhen Unifelix’s argument that it had a legitimate, transportation related concern about Way’s ability to pay is not supported by the record which shows that although Way was occasionally late with payments, particularly while conducting its audit of the invoices, that even when Way paid all of the charges for the 20 Containers, Shenzhen Unifelix continued to refuse to provide trucking from the railyard to the warehouse (in addition to refusing to release the containers). Thus, this stated justification is not supported by the evidence and is not legitimate.

Therefore, the evidence does not show a lack of backup invoices sufficient to violate the Shipping Act as a refusal to negotiate or deal. However, the evidence also does not show that any delay in Way’s payments justified a change to or altered the terms of the parties’ agreement.

Next, Way asserts that the Shenzhen Unifelix refused to fulfill its obligations to provide the final leg of drayage from the rail yard to Way’s facility, even after Way paid, under protest, all related charges for the 20 Containers and that Shenzhen Unifelix therefore failed to deal in good faith, which was unreasonable, relying on the recent decision in *OJ Commerce*. Brief at 33-35 (citing *OJ Commerce v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket No. 21-11, 2023 WL3969857 (ALJ June 7, 2023)).

Shenzhen Unifelix asserts that it “had no obligation to arrange trucking to Way’s warehouse” but rather that the house bill of lading called for shipment to the railyards in Chicago and Juliet. Opposition at 16. Moreover, Shenzhen Unifelix contends that *OJ Commerce* does not apply because there was no obligation to provide trucking and Shenzhen Unifelix “had a legitimate, transportation related concern about doing further business with Way because it failed to pay its freight bills on time.” Opposition at 17.

As discussed earlier, when the 20 Containers departed, Shenzhen Unifelix had an agreement to provide transportation to Way’s warehouse in Indiana. Therefore, Shenzhen Unifelix had an obligation to provide trucking services and it refused to do so for these 20 Containers. Effectively, Shenzhen Unifelix abandoned the containers part way through their transport. In the case cited by the parties, respondent halted shipments under the service contract and stopped negotiating a new service contract on a particular date in retaliation for *OJ Commerce*’s actions. *OJ Commerce*, 2023 WL3969857, at *26-28. Here, Shenzhen Unifelix refused to complete the delivery of the containers as agreed to in the Transport Contract. This refusal to deliver the containers as promised constitutes a refusal to deal. The final question is whether the refusal to deliver the containers was unreasonable.

As discussed above, Shenzhen Unifelix attempted to unilaterally change the terms of the parties’ agreement while the containers were in transport, in an effort to obtain payment for other containers. Even after payments had been agreed upon and made, Shenzhen Unifelix refused to

deliver the 20 Containers to Way's warehouse. For the same reasons discussed above, this conduct was unreasonable. Moreover, any delays of Way's payment while it audited the charges does not justify the refusal to complete delivery. Therefore, the refusal to complete the transportation is not justified by legitimate transportation-related factors. Accordingly, Shenzhen Unifelix's attempt to unilaterally change the agreement and its refusal to deliver the 20 Containers to Way's warehouse was an unreasonable refusal to deal. Thus, this is another way in which Shenzhen Unifelix violated the Shipping Act with regard to the 20 Containers. Therefore, Way has established that Shenzhen Unifelix violated Section 41104(a)(10).

D. Reparations

1. Parties' Arguments

Way seeks reparations of \$144,898.85 for the 20 Containers, "consisting of the additional trucking charges, additional rail storage charges, and demurrage." Brief at 40. Way also seeks a total of \$212,500 for shipments that were not part of the 20 Containers, "consisting of \$10,400 in delivery fees for 8 unrelated containers, \$26,635 in additional costs for 8 unrelated containers, \$76,540 charges on 19 unrelated containers, and \$98,925 for demurrage charges for unrelated containers." Brief at 39. Way contends as well that Shenzhen Unifelix's "violations proximately caused significant damage to Way, not only financially, but also in its customer relations." Brief at 39. Way asserts that its reparations totaling \$357,398.85 should be doubled for an award of \$714,797.70.

Shenzhen Unifelix asserts that Way is seeking to obtain free transportation; Way provides no argument regarding customer relation damages; and any demurrage was incurred due to Way's slow payment and failure to promptly pick up its cargo. Opposition at 18-19.

2. Relevant Law

The Shipping Act requires that the "Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation" of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *2 (FMC June 10, 2022). "As the Commission has explained: '(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.'" *MAVL Capital*, 2022 WL 2209421, at *3 (citations omitted).

Reparations are awarded for actual damages. "Actual damages means 'compensation for the actual loss or injuries sustained by reason of the wrongdoing' which complainants must show to a reasonable degree of certainty." *MAVL Capital*, 2022 WL 2209421, at *3 (quoting *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)). "That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained." *MAVL Capital*, 2022 WL 2209421, at *3. "Actual injury" also includes the loss of interest compounded from the date of injury. 46 U.S.C. § 41305(a); see also *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Docket No. 1947(I), 2016 WL 11942284, at *10 (FMC Oct. 7, 2016).

The statements of the Commission in *California Shipping Line Inc.* and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principle that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co., Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992.

Demurrage and storage fees have been awarded as reparations in circumstances like the present. For example, in *Total Fitness*, the Commission awarded storage fees as damages, explaining that “holding up the cargo . . . was not an appropriate means of debt collection” and that the NVOCC’s unreasonable actions were thus “the direct cause of the storage fees” complainant had to pay. 1998 WL 940255, at *12.

3. Analysis

Way asserts that it incurred damages specific to the 20 Containers for three categories: (a) demurrage charges of \$111,235,⁷ (b) rail yard and service charges of \$51,796.25, and (c) trucking fees of \$14,997.60. Brief at 40; CX 7411-12; CX 7402-03. Each of these will be evaluated in turn. Way also asserts that it is entitled to reparations for “wrongfully demanded payment of ocean freight and ocean carrier demurrage” for cargo shipments other than the 20 Containers; and that it is entitled to additional, or double, damages. Brief at 39-40. These latter assertions will be evaluated below. Although Way asserts reputational damage, it does not seek specific damages due to any damage to its reputation.

a. Demurrage

Way seeks \$111,235 in demurrage charges, which it alleges it incurred due to Shenzhen Unifelix’s unlawful refusal to release the 20 Containers after all claimed charges were paid by Way. Brief at 39-40; CX 7411-12; CX 7402-03. Way also presents detailed evidence supporting \$111,235 in demurrage for the 20 Containers. FOF 83.

Shenzhen Unifelix does not contest the amount of the demurrage charges, other than to assert that “demurrage was incurred by Way due to its slow payment of the freight charges, and

⁷ The total listed for demurrage charges for the 20 Containers is \$78,105, which is the total that the Excel sum feature provides when container 6 is blank, as displayed at CX 7402 and CX 7411-12. However, that calculation excludes the first 5 containers. Therefore, it appears that listing \$78,105 instead of \$111,235 was merely a mathematical error.

failure to promptly pick up its cargo before demurrage began to accrue. All claimed damages were avoidable by Way if it had honored its obligations.” Reply at 18-19.

The facts here are similar to the facts in *Total Fitness*, where the Commission awarded storage fees as damages. 1998 WL 940255, at *12. That decision found that the storage fees “arose from Worldlink’s unreasonable decision to impose a double billing on the cargo and its refusal to release the cargo until the second billing was paid. As such, the storage fees accrued as a direct result of Worldlink’s unreasonable practice. The storage fees, paid like the port fees in *Corpco* by the shipper, may therefore be awarded as damages arising as a consequence of the unreasonable practices of Worldlink described above.” 1998 WL 940255, at *12. In the *Corpco* decision referenced, the “Commission ruled that the failure to pay the transshipment costs was an unreasonable practice, and that the port fees, which the shipper had paid, were attributable to the NVOCC’s unreasonable practice and could therefore be awarded as damages.” *Total Fitness*, 1998 WL 940255 (describing *Corpco*, 28 S.R.R. at 299-300).

Way has established that once the pickup numbers were available, it was diligent about picking up the 20 Containers from the Chicago railyard, to avoid incurring additional demurrage charges. FOF 82. Moreover, the evidence shows that \$111,235 of demurrage was incurred for the 20 Containers. FOF 83; Brief at 40. Therefore, the evidence supports finding \$111,235 of actual injury for demurrage for the 20 Containers.

b. Rail Yard and Service Charges

Way seeks \$51,796.25 for rail yard storage and service charges for seven containers and provides citations to the invoices supporting these charges. Brief at 20, 27, 40; CX 7411-12; CX 1486-1532.

Shenzhen Unifelix argues that there was “unprecedented port and railroad congestion which contributed to the supply chain delays,” that it was “trying to salvage an otherwise unmanageable situation,” and that it was “faced with a large number of shipments, uncontrollable port and rail delays and a customer that refused to pay promptly.” Opposition at 4-6. Shenzhen Unifelix also contends regarding the alleged rail damages of \$51,796.25 that it is “[u]ndisputed that the amounts were billed and paid, but disputed that the charges would have been incurred if Way had picked up the cargo timely.” SResp/WPFF ¶ 76.

The evidence does not support Shenzhen Unifelix’s argument that the delays were caused by supply chain disruptions or Way’s actions. Rather, as discussed above, the evidence shows that Shenzhen Unifelix sought to unilaterally force a change to the terms of the parties’ agreement, held the 20 Containers to obtain payment for other containers, and refused to deliver the containers. Thus, here, the evidence shows that the delays were caused by Shenzhen Unifelix’s unreasonable practices and refusal to deal. Therefore, reparations of \$51,795.25 are reasonable for the rail yard storage and service charges.

c. Trucking Fees

Way seeks \$14,997.60 for “additional trucking expenses” for the 20 Containers. Brief at 40; CX 7411-12; CX 7402-03. Shenzhen Unifelix asserts that Way is seeking free transportation as “those delivery fees were going to be paid by Way either directly to the trucking company, or

indirectly through Unifelix. To reimburse Way for those fees would give Way free transportation for 20 containers from Illinois across state lines to Elkhart Indiana.” Opposition at 18.

Rather than Shenzhen Unifelix arranging for trucking, Way ultimately had to arrange for and manage trucking of the 20 Containers. But, had Shenzhen Unifelix arranged for trucking as agreed, they would have invoiced Way, which would be responsible for payment. The evidence does not support that cost of trucking was included in the sea freight price. Rather, the course of dealing shows that Shenzhen Unifelix arranged for trucking and then invoiced Way. *See, e.g.*, FOF 40. Thus, Way would have had to pay for trucking, whether or not coordinated by Shenzhen Unifelix. Therefore, no reparations are owed for trucking fees.

d. Other Containers

Way seeks \$212,500.00 in reparations for shipments other than the 20 Containers. Brief at 39. Shenzhen Unifelix contends that Way is seeking free transportation and that there is “no claim of improper withholding of the delivery of cargo.” Opposition at 18.

Shenzhen Unifelix’s argument that there is no claim of improper withholding of the delivery of cargo is confusing because that is a primary issue raised by the complaint. However, Shenzhen Unifelix may be referring to the other containers. The Complaint, and the Shipping Act violation found above, focuses on the 20 Containers. Damages for the other containers is outside the scope of this proceeding. Moreover, the evidence is insufficient to determine whether the Shipping Act was violated and, if so, what damages would be appropriate for the other containers. Therefore, Ways’ request for reparations for containers other than the 20 Containers is denied.

e. Additional Damages

Way asserts that in addition to reparations for actual injury, Way is entitled to penalties under Rule 603 for violation of 46 U.S.C. 41104; damages are awardable under ancillary jurisdiction for breach of contract; and under section 41305(c), Way is entitled to damages of up to twice the amount of actual injury for violation of section 41102(c). Brief at 39-40. Shenzhen Unifelix does not specifically address these arguments, although it argues that all claimed damages were avoidable. Opposition at 18-19.

“Civil penalties must not be requested and will not be awarded in complaint proceedings.” 46 C.F.R. § 502.62(a)(5). Rule 603 civil penalties are applicable to Commission enforcement proceedings and are payable to the Commission, not to individual complainants. 46 C.F.R. §§ 502.603, 502.605. Moreover, as discussed above, the Commission does not have subject matter jurisdiction for breach of contract claims. For the same reasons, the Commission cannot award damages for a breach of contract. Rather, relevant to the present action, the Commission is limited to issuing reparations for actual injury due to violation of the Shipping Act and additional damages pursuant to 46 U.S.C. § 41305(c).

Section 41102(c) violations only became subject to additional reparations on June 16, 2022, with the passage of OSRA 2022. OSRA 2022 amended the Shipping Act to include section 41102(c) among the violations for which additional reparations may be ordered under section 41305, which states that “the Commission may order the payment of additional amounts, but the

total recovery of a complainant may not exceed twice the amount of the actual injury.” 46 U.S.C. § 41305(c).

The first issue is whether OSRA 2022 applies here, which turns on the date the conduct occurred. The Supreme Court addressed whether provisions of the Civil Rights Act of 1991 (“CRA of 1991”), passed on November 21, 1991, should be “applied to conduct occurring before November 21, 1991,” in which case, it “would operate ‘retrospectively.’” *Landgraf v. USI Film Products*, 511 U.S. 244, 282 (1994). “The Supreme Court has clearly held . . . that *conduct* completed prior to November 21, 1991 is not subject to the provisions of the CRA of 1991 even if the lawsuit is commenced subsequent to that date.” *Amin v. Quad/Graphics, Inc.*, 929 F. Supp. 73, 79 (N.D.N.Y. 1996) (emphasis added). Therefore, while conduct before the passage of OSRA 2022 is not subject to those amendments, conduct after the effective date is subject to OSRA 2022 and would not require retroactive application.

Here, the containers did not begin arriving in the United States until after OSRA passed on June 16, 2022. The evidence shows that the 20 Containers began arriving in the United States at various ports in California on June 20, 2022, and by July 19, 2022, all of the 20 Containers had arrived in California. FOF 13. The 20 Containers were afterwards loaded onto a train for transportation to the railyard in Chicago between mid-August and October 2022. FOF 14. Thus, when OSRA 2022 became law, the containers were in transit but had not arrived in the Chicago railyard, and could not have been released because they had not yet reached their destination. Thus, the conduct at issue, the delivery and release of the containers, did not occur until after June 16, 2022. Therefore, application of OSRA 2022 would not be retroactive as the violations occurred after enactment.

Way requests double damages in its brief but did not specifically refer to additional or double damages in its Complaint. It did, however, describe the factual basis of the violation and seek “reparations for the unlawful conduct described herein . . . pursuant to 46 U.S.C. 41305.” Complaint at 7. The double damage provision is part of section 41305. Moreover, Federal Rule of Civil Procedure 54(c) states that except in default, “final judgment should grant the relief to which each party is entitled, even if the party has not demanded that relief in its pleadings.” Fed. R. Civ. P. 54(c). Therefore, Way has sufficiently pled its request for double damages.

Way asserts that additional damages are appropriate because the violations were knowing and willful. Brief at 40. Shenzhen Unifelix does not address the appropriate standard.

The use of the word “may” indicates that additional damage amounts are discretionary. *American President Lines, Ltd. v. Cyprus Mines Corp.*, Docket No. 91-27, 1994 WL 33488, at *14 (FMC Jan. 31, 1994) (Order on Review of Summary Judgment). Fact Finding 29 recommended adding section 41102(c) to the list of violations for which additional damages are available and if enacted, recommended that “the Commission should then develop guidance about under what circumstances it would order ‘additional amounts’ for violations of § 41102(c) [e.g., for certain types of cases (demurrage and detention only or other types of cases), or based on certain conduct (bad faith, willfulness)].” FMC Fact Finding No. 29, 2021 WL 3367606, at *2 (Jan. 1, 2021) (brackets in original).

The question is what factors are appropriate to consider when determining whether additional damages are appropriate, now that they are available for violations of section 41102(c). The additional damages do not appear to be compensation for actual damages nor for attorney fees, as both of those categories of damages are already available. Rather, it appears that the additional damages are meant to be akin to a penalty. In Commission enforcement proceedings, enhanced civil penalties are awarded “if the violation was willfully and knowingly committed.” 46 U.S.C. § 41107(a). This standard is consistent with the recommendation in Fact Finding 29, which suggests consideration of bad faith or willfulness. Therefore, a standard of knowing and willful will be used to determine whether or not additional damages are appropriate here, as was done in *OJ Commerce*. 2023 WL3969857, at *2, *61.

The Commission has addressed the knowing and willful factor in the civil penalties context, stating:

In order to prove that a person acted “knowingly and willfully,” it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence. The Commission has further held that a person’s ““persistent failure to inform or even to attempt to inform himself by means of normal business resources might mean that a [person] was acting knowingly and willfully in violation of the Act.””

Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd., Docket No. 96-05, 2001 WL 865708, at *47 (FMC June 1, 2001) (citations omitted); *see also Pacific Champion Express Co., Ltd.*, Docket No. 99-02, 2000 WL 534633, at *10 (FMC April 21, 2000).

Here, not only did Shenzhen Unifelix repeatedly refuse to release the 20 Containers to obtain payment for other containers, it also repeatedly violated its NVOCC duties. On multiple occasions, Way paid an agreed upon amount and Shenzhen Unifelix accepted this payment, but then refused to honor a commitment it had made. For example, in July 2022, one day after receiving a payment of \$746,617, Shenzhen Unifelix reneged on its commitment to provide trucking, announcing “our company requires to change the contract terms, our company will no longer provide Trucking delivery service at the destination port.” FOF 27-28. Also, Shenzhen Unifelix accepted payment in full for the sea freight for the 20 Containers, but then refused to deliver the containers or release the pickup numbers until charges for other containers had been paid. FOF 27-28, 48-54, 57, 61. Thus, Shenzhen Unifelix negotiated resolution of the dispute in bad faith, promising to release containers upon payment and then failing to release them after payment was made. Therefore, doubling the actual injury is appropriate under these facts.

f. Date of Injury

The Shipping Act requires the Commission to award the loss of interest at commercial rates compounded from the date of injury. *See* 46 U.S.C. § 41305(a). Commission regulations establish that “interest granted on awards of reparation in complaint proceedings instituted under the Shipping Act of 1984 will accrue from the date of injury to the date specified in the Commission order awarding reparation.” 46 C.F.R. § 502.253.

On September 14, 2022, Way paid the full sea freight for the 20 Containers, despite the containers not being delivered and payment not yet being due per the parties' agreement; but, Shenzhen Unifelix continued to refuse to deliver or release the containers for reasons found unlawful under the Shipping Act. It is therefore reasonable to find September 14, 2022 as the date of injury. *See Brewer v. Maralan*, Docket No. 99-19, 2001 WL 122035, at *4 (FMC Jan. 3, 2001) (affirming as the date of injury the date the shipper paid for the transportation of cargo, where respondent afterwards refused to release the cargo until additional money was paid).

IV. ORDER

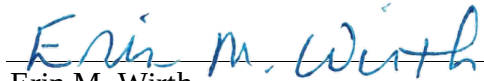
Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Shenzhen Unifelix violated the Shipping Act, sections 41102(c) and 41104(a)(10), it is hereby

ORDERED that Way's Complaint alleging that Shenzhen Unifelix violated the Shipping Act be **GRANTED**. It is

FURTHER ORDERED that Shenzhen Unifelix is ordered to pay Way reparations in the amount of \$326,062.50, with interest on the reparations award running from September 14, 2022. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge